

Insured's Name: Arnold Palmer Enterprises, Inc Policy #: YPB-704221-00

Policy Dates: From: 02/02/26 To: 02/02/27

Surplus Lines Agent's Name: Tomas Tio

Surplus Lines Agent's Physical Address: 3630 Peachtree Rd NE Suite 1700; Atlanta, GA 30326

Surplus Lines Agent's License #: E042340

Producing Agent's Name: Insurance Office of America, Inc. - Cherry Hill

Producing Agent's Physical Address: 220 Lake Drive East
Suite 304 Cherry Hill NJ, 08002

THIS INSURANCE IS ISSUED PURSUANT TO THE FLORIDA SURPLUS LINES LAW. PERSONS INSURED BY SURPLUS LINES CARRIERS DO NOT HAVE THE PROTECTION OF THE FLORIDA INSURANCE GUARANTY ACT TO THE EXTENT OF ANY RIGHT OF RECOVERY FOR THE OBLIGATION OF AN INSOLVENT UNLICENSED INSURER.

SURPLUS LINES INSURERS' POLICY RATES AND FORMS ARE NOT APPROVED BY ANY FLORIDA REGULATORY AGENCY.

Policy Premium: \$10,057.00

SL Agent Policy Fee: \$500.00

Inspection Fee: \$6.48

Other Policy Fees: \$250.00

Tax: \$533.87

FLSO Service Fee: \$0.00

EMPA Surcharge: \$0.00

Surplus Lines Agent's Countersignature:



☐ **THIS POLICY CONTAINS A SEPARATE DEDUCTIBLE FOR HURRICANE OR WIND LOSSES, WHICH MAY RESULT IN HIGH OUT-OF-POCKET EXPENSES TO YOU.**

☐ **THIS POLICY CONTAINS A CO-PAY PROVISION THAT MAY RESULT IN HIGH OUT-OF-POCKET EXPENSES TO YOU.**



POLICYHOLDER NOTICE

This notice is informational and is not part of your policy.

It is recommended that you review your policy carefully to determine your duties and obligations regarding claim or other reporting obligations you may have. We are providing the following contact information as a courtesy:

IF YOU HAVE A COMPLAINT ABOUT YOUR POLICY, PLEASE USE THE FOLLOWING:

Phone: 1-833-240-8996
Email: complaints@bowheadspecialty.com
Address: **Attention: Legal Department**
Bowhead Specialty
452 Fifth Ave, 24th Floor, New York, NY 10018

TO REPORT A CLAIM OR POTENTIAL CLAIM, PLEASE USE THE FOLLOWING:

Phone: 1-833-240-8996
Email: claims@bowheadspecialty.com
Address: **Attention: Claims Department**
Bowhead Specialty
452 Fifth Ave, 24th Floor, New York, NY 10018

YOUR INSURER:

In the states of California, New York and Illinois, your insurance coverage will be provided by:

Homesite Insurance Company (NAIC #17221), 1 Federal Street, Suite 400 Boston, MA 02110-2003

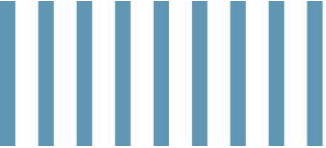
In all other states, your insurance coverage will be provided by:

Homesite Insurance Company of Florida (NAIC # 11156) (in Florida dba Homesite Assurance Company), 1 Federal Street, Suite 400, Boston, MA 02110-2003

BOWHEAD SPECIALTY:

Bowhead Specialty is the Program Administrator for the Insurer. Policies are underwritten by one or more of the American Family Mutual Insurance Company, S.I. affiliated companies.

"Bowhead Specialty" is the branding name for Bowhead Specialty Underwriters, Inc., and Bowhead Specialty Insurance Services in CA (License Number 6003149), IL, NV, NY, UT and VA. Bowhead Specialty is a licensed agency nationwide. Our National Producer Number is 19853093. Products are offered through the following American Family Mutual Insurance Company, S.I., eligible surplus lines affiliates, Homesite Insurance Company and Homesite Insurance Company of Florida (when in Florida, Homesite Assurance Company). Products that are offered through the eligible surplus lines carriers are subject to premium taxes/fees and are not eligible for insurance guaranty fund protection.



U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

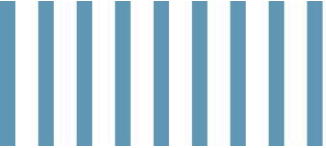
No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided. This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.



POLICYHOLDER FRAUD WARNINGS

Your quote, binder, policy premium and coverage terms have been developed based on applications and materials you have provided as part of the underwriting process to your agent, broker, or producer. We have relied on such information to develop your quote, binder, policy premium and coverage terms.

It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines, and denial of insurance benefits. Please see state specific fraud language below:

Applicable in AL, AR, CA, LA, MD, NM, RI, and WV: Any person who knowingly (or willfully)* presents a false or fraudulent claim for payment of a loss or benefit or knowingly (or willfully)* presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison. *Applies in MD Only.

Applicable in CO: It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

Applicable in the District of Columbia: It is a crime to provide false or misleading information to an insurer for the purpose of defrauding the insurer or any other person. Penalties include imprisonment and/or fines. In addition, an insurer may deny insurance benefits if false information materially related to a claim was provided by the applicant.

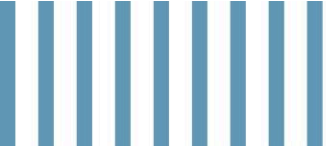
Applicable in FL and OK: Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony (of the third degree)*. *Applies in FL Only.

Applicable in KS: Any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act.

Applicable in KY, NY, OH, and PA: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime, and subjects such person to criminal and civil penalties (not to exceed five thousand dollars and the stated value of the claim for each such violation)*. *Applies in NY Only.

Applicable in ME, TN, VA, and WA: It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties (may)* include imprisonment, fines and denial of insurance benefits. *Applies in ME Only.

Applicable in NJ: Any person who includes any false or misleading information on an application for an insurance policy is subject to criminal and civil penalties.



Applicable in OR: Any person who knowingly and with intent to defraud or solicit another to defraud the insurer by submitting an application containing a false statement as to any material fact may be violating state law.

Applicable in PR: Any person who knowingly and with the intention of defrauding presents false information in an insurance application, or presents, helps, or causes the presentation of a fraudulent claim for the payment of a loss or any other benefit, or presents more than one claim for the same damage or loss, shall incur a felony and, upon conviction, shall be sanctioned for each violation by a fine of not less than five thousand dollars (\$5,000) and not more than ten thousand dollars (\$10,000), or a fixed term of imprisonment for three (3) years, or both penalties. Should aggravating circumstances [be] present, the penalty thus established may be increased to a maximum of five (5) years, if extenuating circumstances are present, it may be reduced to a minimum of two (2) years.

Applicable in VT: Any person who knowingly presents a false statement in an application for insurance may be guilty of a criminal offense and subject to penalties under state law.



TERRORISM COVERAGE DISCLOSURE NOTICE

TERRORISM COVERAGE PROVIDED UNDER THIS POLICY

The Terrorism Risk Insurance Act of 2002 as amended and extended by the subsequent Terrorism Risk Insurance Program Reauthorization Acts (collectively referred to as the "Act") established a program within the Department of the Treasury, under which the federal government shares with the insurance industry, the risk of loss from future terrorist attacks. An act of terrorism is defined as any act certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States, to be an act of terrorism; to be a violent act or dangerous act to human life, property or infrastructure; to have resulted in damage within the United States; to have resulted in damage outside the United States in the cases of certain air carriers and or vessels or within the premises of a United States Mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

In accordance with the Act, we are required to offer you coverage for losses resulting from an act of terrorism **that is certified under the federal program** as an act of terrorism. The policy's other provisions will still apply to such an act. **This offer does not include coverage for incidents of nuclear, biological, chemical, or radiological terrorism which will be excluded from your policy.** Your decision is needed on this question: do you choose to pay the premium for terrorism coverage stated in this offer of coverage, or do you reject the offer of coverage and not pay the premium? You may accept or reject this offer.

If your policy provides commercial property coverage, in certain states, statutes or regulations may require coverage for fire following an act of terrorism. In those states, if terrorism results in fire, we will pay for the loss or damage caused by that fire, subject to all applicable policy provisions including the Limit of Insurance on the affected property. Such coverage for fire applies only to direct loss or damage by fire to Covered Property. Therefore, for example, the coverage does not apply to insurance provided under Business Income and/or Extra Expense coverage forms or endorsements that apply to those coverage forms, or to Legal Liability coverage forms or Leasehold Interest coverage forms.

DISCLOSURE OF FEDERAL PARTICIPATION IN PAYMENT OF TERRORISM LOSSES

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. **The federal share equals 80% in years 2020 through 2027 of that portion of the amount of such insured losses that exceeds the applicable insurer deductible during Calendar Year 2020 and each Calendar Year thereafter through 2027.**

DISCLOSURE OF CAP ON ANNUAL LIABILITY

If the aggregate insured terrorism losses of all insurers exceed \$100,000,000,000 during any **Calendar** Year provided in the Act, the Secretary of the Treasury shall not make any payments for any portion of the amount of such losses that exceed \$100,000,000,000, and if we have met our insurer deductible, we shall not be liable for the payment of any portion of such losses that exceeds \$100,000,000,000.

DISCLOSURE OF PREMIUM

Your premium for terrorism coverage is \$0.

Exclusive Tools, Resources, & Offers for Bowhead Specialty Policyholders



From prevention to response, we've got you covered.

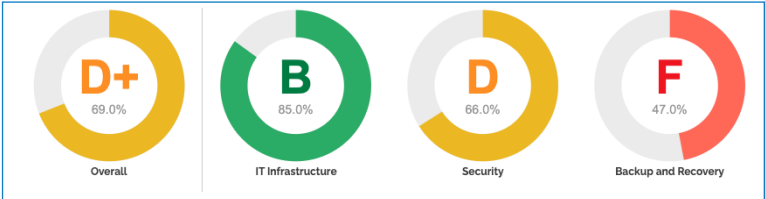
As an eRiskHub® registered user, you have a suite of cyber risk tools, resources, and service offerings at your fingertips to help you identify vulnerabilities, train your team, and respond effectively to cyber threats.



Login today and explore these **free cyber risk offerings for eRiskHub users!**

Ransomware Readiness Assessment

Are you prepared to face a ransomware attack? Assess your defenses, identify gaps, and strengthen your readiness before the threat actors strike.

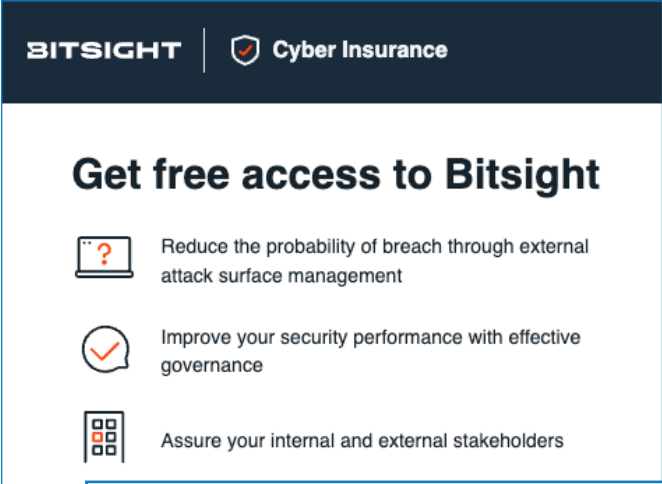


Cyber Awareness Training

Keep your team informed and resilient. Access free cybersecurity training modules from top providers.

AI Cyber Risk Review

AI may have benefits—but it can also increase cyber risk. Get instant feedback on the competitive and strategic risks your organization faces.



BitSight Access (shown left)

Pinpoint vulnerabilities and benchmark your security performance with BitSight. Try it free for 45 days and take control of your cybersecurity.

[Click here to get started with your free access to Bitsight today!](#)

Phishing Simulator Training

Identify weaknesses before the bad guys do! Test your employees with safe, simulated phishing emails.

Website Cookie Scan

Does your website use cookies? Find out where they're sending data and ensure compliance with a free scan.

Dark Web Scan

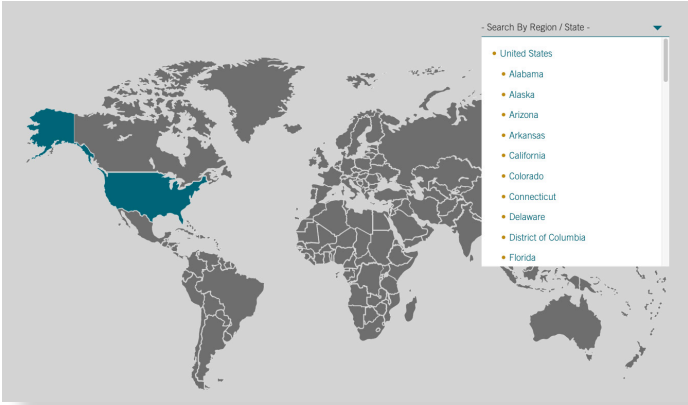
Discover what sensitive data of yours is already exposed to cybercriminals. Take action now—change your passwords and stay protected!

eRiskHub® Your one-stop-shop for staying ahead of cyber risk!

Simply register for free access and login today to get started.

Data Privacy Law Map (shown right)

Stay compliant and avoid costly penalties. Easily navigate privacy laws across all 50 states.



Tabletop Exercises & Training

Are YOU ready to respond to a cyber threat? Experience a gamified ransomware attack scenario to see what responding to a breach is really like.

Sample Cybersecurity Policies

Need help drafting policies? Download templates for essential but often-missing policies like work-from-home, BYOD, and business email compromise.

If you are a new policyholder, please register now.

1. Go to eriskhub.com/bowhead
2. Complete the New User Registration form in the center of the webpage. Your Access Code is 358073.
3. Once you've completed registration, you can log in immediately.



“Bowhead Specialty” is the branding name for Bowhead Specialty Underwriters, Inc., and Bowhead Specialty Insurance Services in CA (License Number 6003149), IL, NV, NY, UT and VA. Bowhead Specialty is a licensed agency nationwide. Our National Producer Number is 19853093. Products are offered through the following American Family Mutual Insurance Company, S.I., eligible surplus lines affiliates, Homesite Insurance Company and Homesite Insurance Company of Florida (when in Florida, Homesite Assurance Company), or through its eligible admitted affiliate, Midvale Indemnity Company. Insurance coverage is subject to actual policy language. NetDiligence is a third party entity and neither Bowhead Specialty nor Homesite are affiliated with NetDiligence

Policy #: YPB-704221-00

Renewal of #: N/A

Declarations

Cyber Protect Policy

THE LIABILITY COVERAGES IN THIS POLICY PROVIDE CLAIMS-MADE AND REPORTED INSURANCE THAT APPLIES ONLY TO CLAIMS FIRST MADE AGAINST AN INSURED DURING THE POLICY PERIOD, OR ANY APPLICABLE EXTENDED REPORTING PERIOD, AND REPORTED TO THE INSURER IN ACCORDANCE WITH SECTION V. OF THIS POLICY. THE LIMITS OF INSURANCE AVAILABLE TO PAY JUDGMENTS OR SETTLEMENTS WILL BE REDUCED AND MAY BE EXHAUSTED BY THE PAYMENT OF DEFENSE EXPENSES. PLEASE READ THIS ENTIRE POLICY CAREFULLY.

Item 1.	Named Insured and Mailing Address
Name:	Arnold Palmer Enterprises, Inc.
Address:	9000 Bay Hill Blvd.
City/State/Zip:	Orlando, FL, 32819

Item 2.	Insurer
Name:	Homesite Assurance Company (NAIC 11156) A Surplus Lines Insurance Carrier, A.M. Best Rated A XV
Address:	One Federal Street, Suite 400
City/State/Zip:	Boston, MA 02110-2003

Item 3.	Policy Period
Effective Date:	02/02/2026
Expiration Date:	02/02/2027
	(12:01 A.M. standard time at the mailing address of the Named Insured as shown above.)

Item 4.	Aggregate Limit of Insurance Under all Insuring Agreements (Including Defense Expenses)
	\$2,000,000

Item 5.	Limits of Insurance and Retention				
First Party Loss Insuring Agreements		Period of Restoration	Waiting Period	Retention (Each Incident)	Aggregate Limit of Insurance
Breach Response Services				\$10,000	\$2,000,000
Cyber Extortion				\$10,000	\$2,000,000
Data Restoration				\$10,000	\$2,000,000
Bricking				\$10,000	\$2,000,000
		Period of Restoration	Waiting Period	Retention (Each Incident)	Aggregate Limit of Insurance
Business Interruption (BI)	BI Incident	180 (days)	8 (hours)	\$0	\$2,000,000
	BI System Failure	180 (days)	8 (hours)	\$0	\$2,000,000
Dependent Business Interruption (DBI)	DBI Incident	180 (days)	8 (hours)	\$0	\$2,000,000
	DBI System Failure	180 (days)	8 (hours)	\$0	\$2,000,000
		Period of Indemnity	Waiting Period	Retention (Each Incident)	Aggregate Limit of Insurance
Reputational Loss		180 (days)	14 (days)	\$10,000	\$2,000,000



Third Party Liability Insuring Agreements	Retroactive Date	Retention (Each Claim)	Aggregate Limit of Insurance
Privacy and Security Liability	Full Prior Acts	\$10,000	\$2,000,000
Regulatory Defense and Penalties	Full Prior Acts	\$10,000	\$2,000,000
Payment Card Defense and Penalties	Full Prior Acts	\$10,000	\$2,000,000
Media Liability	NA	NA	\$0
Technology Errors and Omissions	NA	NA	\$0

Item 6.	Extended Reporting Period
Term	Percentage of Annual Premium
1 Year	100%

Item 7.	Premium
Policy Premium:	\$10,057.00
TRIA Premium:	\$0.00
Policy Issuance Fee:	\$250.00
Total Premium:	\$10,307.00

Neither the Insurer nor Bowhead Specialty are responsible for the collection or filing of surplus lines taxes. It is the responsibility of the surplus lines producing agent to determine such amounts and collect and file those taxes in accordance with the applicable state's surplus lines laws and/or regulations.

Item 8.	Notices
Notice of Claims and Circumstances:	
Phone:	1-833-240-8996
Email:	claims@bowheadspecialty.com
Address:	Attention: Claims Department Bowhead Specialty 452 Fifth Ave, 24th Floor New York, NY 10018
All Other Notices:	
Email:	policyadmin@bowheadspecialty.com
Address:	Attention: Policy Administration Department Bowhead Specialty 452 Fifth Ave, 24th Floor New York, NY 10018

Item 9.	Forms & Endorsements
Form Number	Form Title
BSU 00 07 CW 05 23	Policyholder Notice - No Broker
BSU 00 01 CW 11 20	OFAC Advisory Notice to Policyholders
BSU 00 03 CW 08 24	Policyholder Fraud Warnings
BSU 00 02 CW 02 22	Terrorism Coverage Disclosure Notice
N/A	eRiskHub Registration
YPS 00 02 NA CW 02 24	Primary Cyber Liability - Declarations - Non-Admitted
YPS 00 01 CW 11 24	Cyber Protect Policy - Dynamic Form
YPS 10 10 CW 05 25	Enhanced eCrime (Include Other Property)
YPS 03 10 CW 12 24	Amend Notice Provision - Cooperation With Law Enforcement Authorities
YPS 03 16 CW 02 25	AmWins Amendatory
YPS 40 01 CW 04 25	Additional Breach Response Services Limit
BSU 00 12 CW 07 25	Bowhead Privacy Notice
BSU 00 04 FL 06 23	Service of Suit



THIS INSURANCE IS ISSUED PURSUANT TO THE FLORIDA SURPLUS LINES LAW. PERSONS INSURED BY SURPLUS LINES CARRIERS DO NOT HAVE THE PROTECTION OF THE FLORIDA INSURANCE GUARANTY ACT TO THE EXTENT OF ANY RIGHT OF RECOVERY FOR THE OBLIGATION OF AN INSOLVENT UNLICENSED INSURER. SURPLUS LINES INSURERS' POLICY RATES AND FORMS ARE NOT APPROVED BY ANY FLORIDA REGULATORY AGENCY.

These Declarations, the Application, the Policy and any Endorsements or Schedules thereto, shall constitute the contract between the Insurer and the Insured.

In Witness Whereof, the Insurer has caused this policy to be executed and attested, and, if required by state law, this policy shall not be valid unless countersigned by the Insurer's authorized representative.

Lauren K. Powell, Secretary

Michael D. Lorion, President

Authorized Representative

02/02/2026

Date

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Cyber Protect

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Cyber Protect Policy

THE LIABILITY COVERAGES IN THIS POLICY PROVIDE CLAIMS-MADE AND REPORTED INSURANCE THAT APPLIES ONLY TO CLAIMS FIRST MADE AGAINST AN INSURED DURING THE POLICY PERIOD, OR ANY APPLICABLE EXTENDED REPORTING PERIOD, AND REPORTED TO THE INSURER IN ACCORDANCE WITH SECTION V. OF THIS POLICY. THE LIMITS OF INSURANCE AVAILABLE TO PAY JUDGMENTS OR SETTLEMENTS WILL BE REDUCED AND MAY BE EXHAUSTED BY THE PAYMENT OF DEFENSE EXPENSES. PLEASE READ THIS ENTIRE POLICY CAREFULLY.

In consideration of payment of the premium paid for this Policy and in reliance on all statements made and information provided in the **Application** and/or submission and underwriting process for this Policy, and subject to the terms, conditions, and limitations of this Policy, the **Insurer** and the **Named Insured** designated in Item 1. of the Declarations, on behalf of all **Insureds**, agree as follows:

I. INSURING AGREEMENTS

A. First Party Loss

The **Insurer** will reimburse the **Insured Entity**, in excess of the Retention and subject to the Limit of Insurance stated in the Declarations:

1. Breach Response Services Insuring Agreement

Breach Response Costs that are directly caused by a **Privacy Incident** or **Network Security Incident** that is first **Discovered** during the **Policy Period**.

2. Cyber Extortion Insuring Agreement

Cyber Extortion Costs to resolve a **Cyber Extortion Threat** that is first **Discovered** during the **Policy Period**.

The **Insured** may make **Ransom** payments that are within the Retention amount, without the **Insurer's** prior written consent, only to the extent such payments fully resolve the **Cyber Extortion Threat**.

Provided however, that the **Insurer** will not reimburse the **Insured Entity** for any **Cyber Extortion Costs** that are paid by the **Insured** in violation of any applicable laws, regulations, guidance, or statements issued by applicable law enforcement, governmental or regulatory bodies or agencies.

3. Data Restoration Insuring Agreement

Data Restoration Costs that are directly caused by a **Network Security Incident** that is first **Discovered** during the **Policy Period**.

4. Bricking Insuring Agreement

Bricking Costs that are directly caused by a **Network Security Incident** that is first **Discovered** during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply if the **Insured Entity** has made reasonable efforts to restore the **Computer System** to the level of functionality that existed immediately preceding the **Network Security Incident**.

5. Business Interruption Insuring Agreement

a. Business Interruption Loss Caused by a Business Interruption Incident

Business Interruption Loss that is directly caused by a **Business Interruption Incident** that is first



Discovered during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration**, as set forth in the Declarations, and after the applicable **Waiting Period**, as set forth in the Declarations, has expired.

b. Business Interruption Loss Caused by a System Failure

Business Interruption Loss that is directly caused by a **System Failure** that is first **Discovered** during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration**, as set forth in the Declarations, and after the applicable **Waiting Period**, as set forth in the Declarations, has expired.

6. **Dependent Business Interruption Insuring Agreement**

a. Business Interruption Loss Caused by a Dependent Business Interruption Incident

Business Interruption Loss that is directly caused by a **Dependent Business Interruption Incident** that is first **Discovered** during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration**, as set forth in the Declarations, and after the applicable **Waiting Period**, as set forth in the Declarations, has expired.

b. Business Interruption Loss Caused by a Dependent System Failure

Business Interruption Loss that is directly caused by a **Dependent System Failure** that is first **Discovered** during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration**, as set forth in the Declarations, and after the applicable **Waiting Period**, as set forth in the Declarations, has expired.

7. **Reputational Loss Insuring Agreement**

Reputational Loss that is directly caused by an **Adverse Media Report** or **Notification** that directly results from a **Privacy Incident** or **Network Security Incident** that is first **Discovered** during the **Policy Period**.

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Indemnity**, as set forth in the Declarations, and after the applicable **Waiting Period**, as set forth in the Declarations, has expired.

B. **Third Party Liability**

The **Insurer** will pay on behalf of the **Insured**, in excess of the Retention and subject to the Limit of Insurance stated in the Declarations:

1. **Privacy and Security Liability Insuring Agreement**

Loss which the **Insured** is legally obligated to pay, because of a **Claim** first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, for a **Privacy and Security Wrongful Act**, caused by a **Privacy Incident** or a **Network Security Incident**, that takes place on or after the retroactive date and before the end of the **Policy Period**.

2. **Regulatory Defense and Penalties Insuring Agreement**

Regulatory Costs and **Defense Expenses** which the **Insured** is legally obligated to pay, because of a **Regulatory Proceeding** that is first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, for a **Regulatory Proceeding Wrongful Act**, caused by a **Privacy Incident** or a **Network Security Incident**, that takes place on or after the retroactive date and before the end of the **Policy Period**.

3. **Payment Card Industry (PCI) Assessments Insuring Agreement**

PCI Assessments because of a written demand which is first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, in connection with a **Privacy Incident** or a **Network Security Incident** that takes place on or after the retroactive date and before the end of the **Policy Period**.

4. **Media Liability Insuring Agreement**

Loss which the **Insured** is legally obligated to pay, because of a **Claim** that is first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, for a **Media Services Wrongful Act** that takes place on or after the retroactive date and before the end of the **Policy Period**.

5. **Technology Errors and Omissions Insuring Agreement**

Loss which the **Insured** is legally obligated to pay, because of a **Claim** arising out of a **Technology Wrongful Act** directly resulting from the **Insured's Technology Professional Services** or the **Insured's Technology Products**.

Provided however, that the **Claim** must be first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, for a **Technology Wrongful Act** that takes place on or after the retroactive date and before the end of the **Policy Period**.

II. DEFINITIONS

A. **Accounting Costs** means the reasonable and necessary fees or costs paid by the **Insured Entity**, with the prior written consent of the **Insurer**, to a **Preferred Provider** to calculate **Income Loss**.

B. **Adverse Media Report** means any communication relating to the **Insured Entity** of an actual or potential **Privacy Incident** or **Network Security Incident** by a media outlet.

Multiple **Adverse Media Reports** or republications thereof, regarding the same **Privacy Incident** or **Network Security Incident**, are deemed one **Adverse Media Report**.

C. **Application** means:

1. the application for this policy, or any policy of which this is a direct renewal of a policy issued by the **Insurer**, including any information submitted in connection with or incorporated therein;
2. the application utilized by the **Insured** for any other insurer or broker, offering similar coverage as this policy, that the **Insurer** relies upon for the underwriting and issuance of this policy, including any information submitted in connection or incorporated therein; and
3. any public documents filed by the **Insured Entity** with the Securities and Exchange Commission or any similar state, local, or foreign regulatory agency during the year prior to the Effective Date of the **Policy Period**.

The **Application** is deemed attached to and made a part of this policy.

D. **Biometric Information** means an individual's physiological, biological, or behavioral characteristics, including but not limited to an individual's deoxyribonucleic acid ("DNA"), that can be used, singly or in combination with each other or with other identifying data, to establish individual identity. **Biometric information** includes, but is not limited to, imagery of the iris, retina, fingerprint, face, hand, palm, vein patterns, and voice recordings, from which an identifier



template, such as a faceprint, a minutiae template, or a voiceprint, can be extracted, and keystroke patterns or rhythms, gait patterns or rhythms, and sleep, health, or exercise data that contains identifying information.

Biometric Information includes, but is not limited to, any information subject to the Illinois Biometric Information Privacy Act (BIPA) and any other similar law, statute, ordinance, or regulation anywhere in the world.

- E. **Breach Notice Law** means any statute or regulation that requires notice to persons whose **Confidential and Private Information** was accessed, or reasonably may have been accessed, by an unauthorized party. **Breach Notice Law** also includes any statute or regulation requiring notice of a **Privacy Incident** to be provided to governmental or regulatory authorities.
- F. **Breach Response Costs** means:
1. reasonable and necessary fees and costs incurred by the **Insured**, with the **Insurer's** consent, which consent shall not be unreasonably withheld, for the following services:
 - a. for initial coordination of **Preferred Providers**;
 - b. for contacting the Breach Response Hotline;
 - c. for a computer security expert to conduct a forensic analysis to determine the existence, cause, and scope of an actual or reasonably suspected **Privacy Incident** or **Network Security Incident**, and if such **Privacy Incident** or **Network Security Incident** is actively in progress on the **Insured Entity's Computer System**, to assist in containing it;
 2. reasonable and necessary fees and costs incurred by the **Insured**, with the **Insurer's** prior written consent, which consent shall not be unreasonably withheld, for the following services:
 - a. for an attorney to provide necessary legal advice to the **Insured Entity** to evaluate its obligations pursuant to **Breach Notice Laws** or a **Merchant Services Agreement**;
 - b. for a PCI (Payment Card Industry) Forensic Investigator to investigate the existence and extent of an actual or reasonably suspected **Privacy Incident** or **Network Security Incident** involving payment card data and for a Qualified Security Assessor to certify and assist in attesting to the **Insured Entity's** compliance with the PCI Data Security Standard, as required by a **Merchant Services Agreement**;
 - c. for required **Notification**;
 - d. to notify the proper state and federal agencies of a **Privacy Incident** or **Network Security Incident**;
 - e. to purchase an identity fraud insurance policy to benefit natural persons whose **Confidential and Private Information** was, or is suspected to have been, stolen, lost, accessed, or disclosed because of a **Privacy Incident** or **Network Security Incident**;
 - f. to provide credit monitoring or identity monitoring to natural persons whose **Confidential and Private Information** was impacted by a **Privacy Incident** or **Network Security Incident** for up to twelve (12) months, or longer only where required by law; and
 - g. to provide public relations and crisis management services directly related to mitigating harm to the **Insured Entity**.

The services listed above resulting in **Breach Response Costs** must be provided by a **Preferred Provider** in response to an actual or reasonably suspected **Privacy Incident** or **Network Security Incident**.

Breach Response Costs will not include any internal salary or overhead expenses of the **Insured**.

- G. **Bricking** means a **Network Security Incident** that renders the **Insured Entity's Computer System** non-functional for its intended business purpose.
- H. **Bricking Costs** means the reasonable and necessary costs, subject to valuation in accordance with Section XXII.B., to replace the **Insured Entity's Computer System** with identical or commercially equivalent devices, due to **Bricking**. Such costs do not include amounts spent by the **Insured** prior to the time the **Insured** provides notice to the **Insurer** of the **Bricking**.
- I. **Business Interruption Incident** means:
1. the total or partial interruption of a **Computer System** as a result of a **Network Security Incident**; or
 2. the voluntary shutdown of a **Computer System** by the **Insured**, if it is deemed reasonably necessary by an



Executive Officer who is authorized to make such determination, to minimize or limit the **Business Interruption Loss** caused by a **Network Security Incident** in progress.

J. **Business Interruption Loss** means:

1. **Income Loss**;
2. **Extra Expenses**;
3. **Accounting Costs**; and
4. for the Business Interruption Insuring Agreement only, **Computer Forensic Expenses**;

actually sustained by the **Insured Entity** as a result of the actual interruption of the **Insured Entity's** business operations.

Business Interruption Loss does not include: (a) loss, damages, or costs arising out of any liability or obligation to any third party; (b) legal costs or expenses; (c) loss incurred as a result of unfavorable business conditions; (d) loss of market or any other consequential loss; or (e) **Data Restoration Costs**.

K. **Claim** means:

1. a written demand for monetary or nonmonetary relief, including injunctive relief;
2. a civil proceeding, commenced by the service of a complaint or similar pleading;
3. an arbitration, mediation, or similar alternative dispute resolution proceeding;
4. a written request to toll or waive a statute of limitations relating to a potential civil proceeding;
5. commencement of a **Regulatory Proceeding**; or
6. a written notice of assessment or demand relating to a **PCI Assessment**;

for a **Wrongful Act** for which coverage is provided under this policy.

A **Claim** shall be deemed made at the time an **Insured** receives notice of such **Claim** except as otherwise provided for in Section V. Notices and Reporting of Claims, Potential Claims, and Incidents.

L. **Client** means a person or entity to whom the **Insured Entity**, for a fee or other consideration, or under a written agreement, provides goods or performs services.

M. **Computer Forensic Expenses** means reasonable and necessary expenses incurred by the **Insured**, with the prior written consent of the **Insurer**, to investigate the source or cause of a **Business Interruption Incident**.

N. **Computer System** means a computer and connected input, output, processing, storage, or communication device, or related network, operating system, website, or application software, that is under the control of, owned by, licensed to, or leased to:

1. the **Insured Entity**; or
2. an **Insured Person**, while authorized by, and transacting business on behalf of, the **Insured Entity**.

O. **Confidential and Private Information** means:

1. any information concerning an individual that is defined as personal information under any **Breach Notice Law**;
2. an individual's driver's license or state identification number; social security number; unpublished telephone number; and credit, debit or other financial account numbers in combination with associated security codes, access codes, passwords, or personal identification numbers (PINs); if such information allows an individual to be uniquely and reliably identified or contacted or allows access to the individual's financial account or medical record information; and
3. private information or confidential business information belonging to a third-party, in the care, custody, or control of the **Insured Entity** or a service provider acting on behalf of the **Insured Entity** pursuant to a written contract.

Confidential and Private Information will not include information that is lawfully made available to the general public.



P. **Cyber Extortion Costs** means the following, when paid to a third party by the **Insured** or incurred by the **Insured**, with the **Insurer's** prior written consent:

1. **Ransom**,
2. reasonable and necessary amounts incurred or paid by the **Insured** in the process of negotiating, paying, or attempting to pay, **Ransom**; or
3. reasonable and necessary amounts, recommended by a **Preferred Provider**, incurred or paid by the **Insured** to mitigate a **Cyber Extortion Threat**.

Cyber Extortion Costs do not include **Breach Response Costs** or **Data Restoration Costs**.

Q. **Cyber Extortion Threat** means a threat to:

1. alter, block access to, corrupt, damage, delete, destroy, manipulate, or misappropriate **Data** held by the **Insured Entity**;
2. access or disclose:
 - a. **Confidential and Private Information** held by the **Insured Entity**; or
 - b. an **Insured Entity's** business proprietary information; or
3. commit or continue a **Network Security Incident** against the **Insured Entity**;

for **Ransom**.

R. **Cyberterrorism** means a network-based attack, or the threat thereof, by a person or group of persons, known or unknown, against the **Insured Entity's Computer System** in order to harm, intimidate, or coerce any person or entity in furtherance of ideological, political, religious, social, or economic objectives.

S. **Data** means any of the **Insured Entity's** software or electronic data that exists in an **Insured's Computer System**, including but not limited to **Confidential and Private Information**.

T. **Data Restoration Costs**

1. means the reasonable and necessary amounts incurred or paid by the **Insured**, with the **Insurer's** prior written consent:
 - a. to replace, regain access to, restore, or recover damaged or destroyed computer programs, software, or **Data** stored within a **Computer System**, to its condition immediately before a **Network Security Incident**; or
 - b. to determine that such computer programs, software, or **Data** cannot reasonably be restored or recovered.
2. **Data Restoration Costs** do not include:
 - a. costs to recover or replace computer programs, software, or electronic data that the **Insured** did not have a license to use;
 - b. costs to design, update, or improve the operation of computer programs or software;
 - c. costs to recreate work product, research, or analysis;
 - d. wages, benefits, or overhead of the **Insured**;
 - e. the monetary value of profits, royalties, or lost market share related to **Data**, including but not limited to trade secrets or other proprietary information;
 - f. legal costs or expenses;
 - g. loss, damages, or costs arising out of any liability or obligation to any third party; or
 - h. **Cyber Extortion Costs**.

U. **Dependent Business** means an entity, while under a written agreement with the **Insured Entity**, to provide the **Insured Entity** with any of the following services:

1. hosted computer application services;
2. cloud services or computing;
3. electronic data hosting, back-up, storage, and processing;
4. co-location services;
5. platform-as-a-service; or



6. software-as-a-service.

V. **Dependent Business Interruption Incident** means:

1. unauthorized access to;
2. use of authorized access to cause intentional harm to;
3. a denial-of-service attack against; or
4. the introduction of a virus or other malicious software into;

a **Dependent Business'** computer system, resulting in total or partial interruption of the **Insured's Computer System**.

W. **Defense Expenses** means all reasonable and necessary fees and costs incurred by the **Insurer**, or the **Insured** with the **Insurer's** prior written consent, in the investigation, defense, settlement, or appeal of a **Claim**.

Defense Expenses do not include wages, benefits, or overhead of the **Insurer** or of the **Insured**.

X. **Dependent System Failure** means an unintentional and unplanned interruption of computer systems operated by a **Dependent Business**.

Dependent System Failure does not include the interruption of computer systems that are not operated by a **Dependent Business**.

Y. **Discover, Discovered, Discovery** means an **Executive Officer** first becoming aware of a **Claim** or **Incident**, as applicable.

Z. **Discrimination** means discrimination against a person on any basis, including but not limited to discrimination based on race, sex, age, religion, national origin, handicap, sexual orientation, marital or military status, or any other status or classification that is protected under any applicable federal, state, local or foreign statute, ordinance, rule, regulation or law.

AA. **Employee**

1. means a natural person while their labor is engaged and directed by the **Insured Entity**, and who is:
 - a. a full-time, part-time, seasonal, or temporary worker compensated directly by the **Insured Entity** through wages, salaries, or commissions;
 - b. volunteer, student, or intern; or
 - c. a worker whose services have been leased to the **Insured Entity** by a labor leasing firm under a written agreement.
2. For the Business Interruption Loss Insuring Agreement only, **Employee** also includes any natural person that serves in the following roles for an **Insured Entity**:
 - a. an officer;
 - b. a partner;
 - c. a sole proprietor;
 - d. an in-house general counsel; or
 - e. a member of a board of directors, trustees, or governors.
3. **Employee** does not include any:
 - a. agent;
 - b. broker;
 - c. consignee;
 - d. independent contractor; or
 - e. retained outside representative;of the **Insured Entity**.

BB. **Executive Officer** means any principal, partner, corporate officer, director, general counsel (or most senior legal counsel), Chief Information Security Officer, or risk manager, of the **Insured Entity**; and any individual in a functionally equivalent position with the **Insured Entity**.

CC. **Extra Expenses** means reasonable and necessary fees incurred by the **Insured Entity** or paid to a third party by the **Insured Entity**, with the **Insurer's** prior written consent, during the **Period of Restoration** that:

1. are in excess of the **Insured Entity's** normal operating costs;
2. are intended to minimize, reduce, or avoid **Income Loss**; and
3. would not have been incurred had there been no **Business Interruption Incident**.

DD. **Incident** means any of the following, as applicable: (1) **Privacy Incident**, (2) **Network Security Incident**, (3) **Business Interruption Incident**, (4) **Dependent Business Interruption Incident**, (5) **System Failure**, (6) **Dependent System Failure**, (7) **Cyber Extortion Threat**; (8) **Adverse Media Report** or **Notification**; and (9) **Bricking**.

EE. **Income Loss** means:

1. the pretax net profit or loss that the **Insured** would have actually earned or incurred during the **Period of Restoration**, where applicable, or **Period of Indemnity**, where applicable. Continuing normal operating expenses and payroll are part of the pretax net profit or net loss, but only to the extent such operating expenses and payroll must necessarily continue during the **Period of Restoration**, where applicable, or **Period of Indemnity**, where applicable.
2. **Income Loss** does not include:
 - a. **Extra Expenses**;
 - b. contractual penalties;
 - c. costs incurred to replace or improve a **Computer System**;
 - d. costs incurred to identify or remediate **Computer System** errors or vulnerabilities;
 - e. interest or investment income; or
 - f. losses incurred due to unfavorable business conditions not related to the **Incident**.
3. **Income Loss** that would also qualify as a **Business Interruption Loss** is limited to pretax net profit or loss that the **Insured** would have earned or incurred during the **Period of Restoration**.

FF. **Insured** means: (1) **Insured Persons**; and (2) **Insured Entities**.

GG. **Insured Entity** means the **Named Insured** and any **Subsidiary** thereof.

HH. **Insured Persons** means:

1. **Employees**;
2. natural persons while acting as officers, partners, sole proprietors, in-house general counsel, and members of a board of directors, trustees, or governors, of the **Insured Entity**, but only while performing services on behalf of the **Insured Entity** under a written agreement governing the nature of such person's engagement; or
3. natural persons while acting as independent contractors for the **Insured Entity**, but only while performing services on behalf of the **Insured Entity** under a written agreement governing the nature of such person's engagement.

II. **Insurer** means the insurance company stated in Item 2. of the Policy's Declarations.

JJ. **Interrelated** means having as a common nexus any fact, circumstance, situation, event, decision, transaction, or cause, or series of causally or logically connected facts, circumstances, situations, events, decisions, transactions, or causes.

KK. **Loss** means:

1. **Defense Expenses**;
2. damages, judgments, and settlements;
3. prejudgment or post judgment interest; and
4. court awarded legal fees;



Loss does not include:

1. civil or criminal fines, penalties, or sanctions;
2. taxes;
3. amounts uninsurable under applicable law;
4. restitution, return, or disgorgement of any profits;
5. liquidated damages, but only to the extent that such damages exceed the amount for which the **Insured** would have been liable in the absence of a liquidated damages provision in a contract or agreement;
6. punitive or exemplary damages, or the multiple portion of a multiplied damage award; or
7. the cost of complying with an order granting injunctive or nonmonetary relief.

LL. **Media Services Wrongful Act** means the following acts, errors or omissions committed by or on behalf of the **Insured** in the course of the creation, distribution or dissemination (by any medium) of advertising, marketing or promotional materials and communications for which the **Insured** is legally responsible, in connection with the **Insured Entity's** products or services:

1. defamation, libel, slander, product disparagement, or trade libel;
2. violation of the rights of privacy of an individual, including false light, intrusion upon seclusion, and public disclosure of private facts;
3. invasion or interference with an individual's right of publicity, including misappropriation of any name, persona, voice, or likeness for commercial advantage;
4. plagiarism, piracy, or misappropriation of ideas under an implied contract;
5. the unauthorized use, dilution, or infringement of copyright, title, slogan, trademark, trade name, trade dress, metatag, slogan, service mark, domain name, logo, or service name;
6. the unauthorized use of a literary or artistic format, character, or performance;
7. improper deep-linking, framing, or infringement of domain name including cybersquatting violations;
8. any act, error or omission in connection with advertising, promotional, or any other activities of any social media influencers engaged by the **Insured**;
9. negligence based upon or arising out of any actual or alleged instance of any of Items (1.) through (8.) above; or
10. unfair competition based upon or arising out of any actual or alleged instance of any of Items (1.) through (8.) above.

MM. **Merchant Services Agreement** means a contract between the **Insured Entity** and a financial institution, credit/debit card company, credit/debit card processor, or independent service operator, enabling an **Insured** to accept credit cards, debit cards, prepaid cards, or other payment cards for payments.

NN. **Money and Securities** means:

1. currency, coins, or bank notes in circulation;
2. bullion;
3. traveler's checks;
4. certified or cashier's checks;
5. money orders; or
6. written agreements representing money or property.

OO. **Named Insured** means the person or entity identified in Item 1. of the Declarations.

PP. **Network Security Incident** means:

1. the unauthorized access or use of a **Computer System** by one or more unauthorized persons, or by one or more authorized persons in an unauthorized manner;
2. the restriction or inhibition of access to a **Computer System**;
3. a denial of service attack directed against a **Computer System**; or
4. the introduction of a virus or other malicious software to or from a **Computer System**.

QQ. **Notification** means written notice by the **Insured Entity** to persons or entities whose **Confidential and Private Information** was, or is suspected to have been, stolen, lost, accessed, or disclosed without authorization, as a direct



result of a **Privacy Incident** or **Network Security Incident**.

RR. **PCI (Payment Card Industry) Assessment** means the fines, penalties, or assessments owed by the **Insured Entity** under the terms of a **Merchant Service Agreement** due to the unintentional disclosure of payment card data stored or processed by the **Insured Entity**.

PCI Assessments include reasonable and necessary legal costs and expenses incurred by the **Insured Entity**, with the prior written consent of the **Insurer**, to appeal or negotiate a fine, penalty, or assessment. **PCI Assessments** do not include any chargebacks, interchange fees, discount fees, or other fees related to a **Privacy Incident**.

SS. **Period of Indemnity** means the applicable period of time stated in the Declarations, which begins after the **Waiting Period** expires.

TT. **Period of Restoration** means the applicable period of time stated in the Declarations, which begins after the **Waiting Period** expires. The **Period of Restoration** ends on the earlier of:

1. the expiration of the period of time stated in the Declarations; or
2. when the **Insured Entity's** business operations have been restored for a consecutive twenty-four (24) hour period to the level of operations that existed immediately before the **Business Interruption Incident, Dependent Business Interruption Incident, System Failure, or Dependent System Failure**.

The **Insured Entity's** level of operations is determined by its capacity to provide the products or services it offered immediately before the **Business Interruption Incident, Dependent Business Interruption Incident, System Failure, or Dependent System Failure**.

UU. **Policy Period** means the period of time running from the Effective Date to the Expiration Date stated in Item 3. of the Declarations, or the effective date of any earlier cancellation or termination of the Policy.

VV. **Pollutant** means a solid, liquid, gaseous, or thermal irritant or contaminant, including smoke, vapor, soot, fumes, fibers, radioactive material, acids, alkalis, chemicals, nuclear radiation or materials, asbestos, and waste. Waste includes materials to be recycled, reconditioned, reclaimed, disposed of, or stored.

WW. **Preferred Provider** means the panel of vendors and attorneys which is preapproved by the **Insurer** to provide various services in accordance with the Insuring Agreements set forth in Section I.A. First Party Loss.

Provided however, that the **Insured** shall have the option to use a qualified provider that is not a **Preferred Provider**, so long as the qualified provider:

1. is pre-approved in writing by the **Insurer** prior to the time that the **Claim** or **Incident** arises;
2. provides comparable services to a **Preferred Provider**; and
3. does not charge a rate that exceeds the rate the **Insurer** has pre-negotiated with a **Preferred Provider**.

XX. **Privacy and Security Wrongful Act** means:

1. the failure to prevent a **Privacy Incident**;
2. the failure to protect **Confidential and Private Information**; or
3. a violation of law, when alleged in connection with paragraphs 1. or 2. above.

YY. **Privacy Incident** means the loss or theft of, or unauthorized access to or disclosure of, **Confidential and Private Information**.

ZZ. **Public Relations Costs** means reasonable costs or fees, incurred with the prior written consent of the **Insurer**, for public relations services recommended and provided by a **Preferred Provider** to mitigate or prevent negative publicity resulting from a **Privacy and Security Wrongful Act**.

AAA. **Ransom** means **Money and Securities**, or the fair market value of property or services, or other nonmonetary consideration, paid or surrendered by, or on behalf of, the **Insured**, in direct response to a **Cyber Extortion Threat**.



Ransom will be valued as of the date paid or surrendered.

BBB. **Regulatory Costs** means any civil monetary fine or penalty imposed by a federal, state, local or foreign governmental agency or entity, regulatory authority or authorized data protection authority, in such entity's administrative, regulatory, or other similar official capacity in connection with a **Regulatory Proceeding**.

Regulatory Costs do not include any criminal fines or penalties, disgorgement of profits, punitive, exemplary, or multiple damages, or civil monetary fines or penalties where such civil monetary fines or penalties are not insurable by law.

CCC. **Regulatory Proceeding** means an administrative or regulatory proceeding, or a civil investigative demand, brought by, or on behalf of, any federal, state, local or foreign governmental agency or entity, regulatory authority, or authorized data protection authority, commenced by:

1. the filing of charges;
2. the notice of an investigation or requests for information by a regulatory body;
3. the service of a summons; or
4. the service or filing of a similar document;

Regulatory Proceeding shall not include any routine or regulatory scheduled oversight, compliance, audit, inspection, or examination by any federal, state, local or foreign governmental agency or entity, regulatory authority or administrative agency or data protection authority.

DDD. **Regulatory Proceeding Wrongful Act** means any act, error, or omission by or on behalf of the **Insured** in connection with a **Network Security Incident** or **Privacy Incident**, that results in a **Regulatory Proceeding** against the **Insured**.

EEE. **Reputational Loss** means damage to the **Insured Entity's** reputation incurred during the **Period of Indemnity** that results in **Income Loss**.

FFF. **Retroactive Date** means the applicable date, on or after which, a **Wrongful Act** must take place, in order for coverage to apply under any Third Party Liability Insuring Agreement or other applicable provision of this Policy, as more specifically set forth in Item 5. of the Declarations.

GGG. **Subsidiary** means:

1. an entity in which the **Named Insured** owns more than fifty percent (50%) of the outstanding securities or voting rights representing the right to select the entity's board of directors, or functional equivalent;
2. a nonprofit entity in which the **Named Insured** exercises management control over such entity pursuant to a written contract; or
3. an entity in which the **Named Insured** owns exactly fifty percent (50%), as a joint venture, and while an **Insured Entity** controls the entity's management and operations under a written agreement.

HHH. **System Failure** means an accidental, unintentional, and unplanned total or partial interruption of a **Computer System**, provided that it is not caused by a **Network Security Incident**; or a total or partial interruption of a third party's computer system or network.

III. **Technology Product** means a computer or telecommunications hardware or software product, or related electronic product that is created, manufactured, or developed by the **Insured** for others, or distributed, licensed, leased, or sold by the **Insured** to others, for a fee or other consideration, including software updates, service packs, and other maintenance releases provided for such products.

JJJ. **Technology Professional Services** means computer, cloud computing, and electronic technology services provided to others for a fee or other consideration. **Technology Professional Services** include, but are not limited to:

1. data processing, software as a service (SaaS), platform as a service (PaaS), infrastructure as a service (IaaS), and network as a service (NaaS);

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2. data and application hosting;
 3. computer systems analysis;
 4. technology consulting and training;
 5. custom software programming for a specific **Client** of the **Insured Entity**; and
 6. computer and software systems installation and integration.

KKK. **Technology Wrongful Act** means any of the following with respect to the **Insured's Technology Professional Services** and/or the **Insured's Technology Products**, as applicable:

1. negligent acts, errors, or omissions in the performance of, or failure to perform, such services;
2. failure of the product to perform the function or serve the intended purpose;
3. breach of warranty or representations relating to fitness, quality, suitability, or performance of a product;
4. failure to prevent unauthorized access to, or the unauthorized use of, a **Client's** network by a third party;
5. failure to prevent identity theft by a third party;
6. failure to prevent introduction of malicious code by a third party;
7. inability of an authorized third-party to gain access to a **Client's** network, including denial-of-service or malicious code; or
8. an unintended transmission of any malicious code by the **Insured** to a **Client**.

LLL. **Waiting Period** means the applicable time set forth in the Declarations that begins:

1. With respect to Insuring Agreements A.5. and A.6., upon the actual interruption of the **Insured Entity's** business operations caused by a **Business Interruption Incident, System Failure, Dependent Business Interruption Incident, or Dependent System Failure**; and
2. With respect to Insuring Agreement A.7., on the date of the first:
 - a. **Notification**; or
 - b. **Adverse Media Report**;whichever is earlier.

MMM. **Wrongful Act** means any: (1) **Media Services Wrongful Act**, (2) **Technology Wrongful Act**, (3) **Privacy and Securities Wrongful Act**, and (4) **Regulatory Proceeding Wrongful Act**.

All **Wrongful Acts** that are **Interrelated** are deemed a single **Wrongful Act** that takes place at the time the first such **Wrongful Act** occurred.

III. EXCLUSIONS

A. Exclusions Applicable to all Insuring Agreements

1. Criminal, Intentional, or Fraudulent Acts

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged criminal, dishonest, fraudulent, or malicious act or omission, or intentional or knowing violation of the law, committed by an **Insured**, or by others if the **Insured** colluded or participated in any such conduct or activity;

provided however, that this exclusion shall not apply to the payment of **Defense Expenses** incurred in defending an otherwise covered **Claim** alleging the foregoing, until there is a final, non-appealable adjudication, establishing that such conduct occurred.

For purposes of determining the applicability of this exclusion, only the acts, omissions, conduct, or knowledge of an **Executive Officer** will be imputed to the **Insured Entity**.

2. Bodily Injury or Property Damage

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

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- a. physical injury, sickness, disease, or death of any person;
 - b. emotional distress or mental anguish; or
 - c. physical injury to, or destruction of, any tangible property, or any other loss of use thereof;

provided however, that: (1) sub-paragraph c. above shall not apply to the extent coverage is provided to a **Computer System** under the Bricking Insuring Agreement; and (2) sub-paragraph b. above shall not apply to an otherwise covered **Claim** for emotional distress or mental anguish arising out of a **Privacy Incident**.

3. **Data Collection, Storage, and Use**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

- a. unlawful or unauthorized collection, sale, transfer, storage, safeguarding, processing, distribution, retention, or use of **Data** by or on behalf of the **Insured**; or
- b. false, inaccurate or misleading statement with respect to any publicly available statements, documents, representations, or filings made with respect to sub-paragraph a. above.

4. **Prior Known Acts**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any fact, circumstance, event, or situation of which any **Executive Officer** had actual or constructive knowledge, prior to the inception of this Policy (or, if this Policy is a renewal, the inception of the earliest Cyber Protect Policy for which there has been continuous coverage issued by the **Insurer**, or any affiliated company, to the **Insured**), if it was reasonably foreseeable that a **Claim** or **Incident** may result.

5. **Prior Noticed Claims/Incidents**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any fact, circumstance, event, or situation that has been the subject of any notice given and accepted under any other cyber liability insurance policy or similar liability insurance policy of which this Policy is a direct or indirect renewal or replacement.

6. **Trading Losses and Loss of Money**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

- a. trading losses, trading liabilities, or change in value of accounts resulting from unauthorized or improper trading;
- b. the transfer, theft, or misappropriation of **Money and Securities**, digital assets, or the tangible or intangible property of the **Insured** or of others in the care, custody, or control of the **Insured Entity**; or
- c. the value of any transfer of electronic funds or digital assets by or on behalf of the **Insured** which is lost, diminished, or damaged during transfer from, into, or between accounts.

7. **Strike, War, and Civil Commotion**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, strikes or similar labor actions, war, whether declared or not, invasion, act of foreign enemy, civil war, mutiny, coup d'état, civil commotion assuming the proportions of or amounting to a popular rising, military rising, insurrection, rebellion, revolution, military or usurped power, or any action taken to hinder or defend against these actions;

provided however, that this exclusion shall not apply to an otherwise covered **Claim** or **Incident** arising out of **Cyberterrorism**.



8. **Force Majeure**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part:

- a. the seizure, nationalization, confiscation, or destruction of property or **Data** by order of any governmental or regulatory agency or authority;
- b. fire, flood, earthquake, volcanic eruption, explosion, lightning, wind, hail, tidal wave, landslide, solar flare, solar storm, or Act of God, however caused;
- c. magnetism or electromagnetism, whether via magnetic or electromagnetic fields, pulses, or otherwise; or
- d. radiation.

9. **Pollution**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

- a. discharge, dispersal, release, escape, seepage, migration, or disposal of any **Pollutant**; or
- b. testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, or neutralizing, or in any way responding to, or assessing the effects of, a **Pollutant**, whether performed voluntarily or arising out of a request, demand, order, or statutory or regulatory requirement.

10. **Infrastructure Failure**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged failure, malfunction, outage, interruption, or fluctuation of:

- a. a satellite;
- b. an electrical or mechanical system;
- c. an electric, gas, water, or other utility; or
- d. cable, telecommunications, internet, or other communications or networking infrastructure or services;

unless under the **Insured's** direct operational control.

11. **Biometric Information**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged collection, storage, management, sale, transfer, breach of privacy, failure to protect, or accuracy or adequacy of any notice or disclosure concerning, **Biometric Information**.

12. **Insolvency/Bankruptcy**

No coverage shall be afforded under this Policy for any **Claim** brought by, in the right of, or on behalf of any owner, investor, creditor, shareholder or bondholder of the **Insured Entity** in its capacity as such, in the event of the insolvency, receivership, bankruptcy, or liquidation of the **Insured Entity**, or any **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, such event.

13. **Form 8-K Filing Deficiency**

No coverage shall be afforded under this Policy for any **Claim** or **Incident** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged filing deficiency or failure of the **Insured** to complete any Form 8-K filing with the Securities Exchange Commission, or any other similar filing, disclosure or documentation with the Securities Exchange Commission or any other state or federal agency.

Provided however, that this exclusion shall not apply to reasonable and necessary costs incurred in conjunction with the initial filing of an 8-K or similar report for a **Privacy Incident** or **Network Security Incident** otherwise covered under this Policy. In no event shall this Policy cover any costs or expenses incurred for any **Claim** brought by, or on behalf of, any securityholder of the **Insured Entity** against the board of directors (or equivalent management body) of the **Insured Entity**, to commence, or investigate whether to commence, a civil action on



behalf of the **Insured Entity** against any director or officer of the **Insured Entity** or against any other party who allegedly breached their duties.

B. Exclusion Applicable to First Party Insuring Agreements Only

1. Betterment Costs

No coverage shall be afforded under this Policy for any costs or expenses incurred or paid by the **Insured** to improve a **Computer System** after a **Network Security Incident**.

C. Exclusions Applicable to Third Party Insuring Agreements Only

No coverage shall be afforded under the Third-Party Liability Insuring Agreements for any **Claim**:

1. Employee Benefits Law

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged violation of the Employee Retirement Income Security Act of 1974, any amendments thereto, or any similar federal, state, local, or foreign statute or common law relating to an employee welfare or benefit plan established for the benefit of the **Insured Entity** or its **Employees**;

provided however, that this exclusion shall not apply to an otherwise covered **Claim** for a **Privacy Incident** or **Network Security Incident** involving the **Confidential and Private Information** of an **Insured Person**;

2. Employment Practices and Discrimination

- a. directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged act, error, omission, or misstatement or misleading statement with respect to the employment or prospective employment of any person, any employment-related practice, policy or procedure, or any employment-related tort, including but not limited to, wrongful termination, dismissal or discharge, employment discrimination, employment-related harassment or defamation, or breach of an employment contract; or
- b. directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged **Discrimination** against any person or organization.

provided however, that sub-paragraph a. above shall not apply to an otherwise covered **Claim** for a **Privacy Incident** or **Network Security Incident** involving the **Confidential and Private Information** of an **Insured Person**;

3. Deceptive Business Practices, Antitrust and Consumer Protection

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged deceptive or unfair trade practices; violation of antitrust law; restraint of trade; unfair competition (except for an otherwise covered **Claim** for unfair competition as provided for under the Media Liability Insuring Agreement); violation of consumer protection law; false, deceptive, or misleading advertising; or inaccurate cost estimates or failure of goods or services to conform with any represented quality or performance;

4. Insured vs. Insured

- a. brought by one **Insured** against another **Insured**; or
- b. brought by or on behalf of an entity which, at the time that either the **Wrongful Act** occurs or the date the **Claim** is made:
 - (i) is owned, operated, managed, or controlled by any **Insured**; or
 - (ii) owns, operates, manages, or controls any **Insured**;

provided however, that this exclusion shall not apply to an otherwise covered **Claim** under the Privacy and Security Liability Insuring Agreement brought by an **Employee** against the **Insured Entity**;



5. **Owned Entity**

made against the **Insured** if, at the time the **Wrongful Act** giving rise to such **Claim** was committed:

- a. the **Insured** controlled, owned, operated, or managed the claimant; or
- b. the **Insured** was an owner, partner, director, or officer of the claimant;

for the purposes of this exclusion only, a ten percent (10%) or more owner of the voting stock of a publicly held corporation, or a forty percent (40%) or more owner of the voting stock of a privately held corporation, shall be deemed to control, own, operate, or manage any such corporation making such **Claim**;

6. **Securities Laws**

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged violation of the Securities Act of 1933, the Securities Exchange Act of 1934, the Investment Company Act of 1940, the Investment Advisers Act of 1940, any state blue sky securities law, all as amended, or any other federal, state, local, or foreign securities law, any rules or regulations promulgated thereunder, or any common law used to impose liability in connection with the purchase or sale or offer to purchase or sell securities;

7. **Governmental Actions**

brought by or on behalf of any state, federal, local, or foreign governmental agency or entity, or regulatory authority;

provided however, that this exclusion shall not apply to: (a) an otherwise covered **Claim** under the Regulatory Defense and Penalties Insuring Agreement, or (b) an otherwise covered **Claim** under the Technology Errors and Omissions Insuring Agreement brought against the **Insured Entity** by a governmental agency or entity, or regulatory authority, solely in its capacity as a **Client** of the **Insured Entity** pursuant to a written contract or agreement to provide **Technology Professional Services**;

8. **Racketeering**

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged violation of the Organized Crime Control Act of 1970 (commonly known as the Racketeer Influenced and Corrupt Organizations Act or RICO), as amended, or any similar state or local law, statute, or regulation;

9. **Fair Debt Collection Practices Act**

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged violation of the Fair Debt Collection Practices Act (FDCPA), any amendment thereto, or any similar or related federal or state statute, law, rule, ordinance, or regulation;

10. **Infringement of Intellectual Property and Misappropriation of Information**

directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged: (a) infringement or misappropriation of any idea, trade secret, copyright, or other intellectual property of a third party; (b) infringement, misuse, or abuse of patent or patent rights; or (c) infringement, disclosure, misuse, or misappropriation of any confidential business information or any idea, trade secret, copyright, or other intellectual property of a third party;

provided however, that this exclusion shall not apply to: (i) an otherwise covered **Claim** under the Technology Errors and Omissions Insuring Agreement for any actual or alleged infringement of any copyright of source code or other software code written or published by the **Insured**; or (ii) an otherwise covered **Claim** under the Media Liability Insuring Agreement.



D. Exclusions Applicable to Media Liability and Technology Errors and Omissions Insuring Agreements Only

1. Unsolicited Communications

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for any **Claim** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

- a. distribution, dissemination, or transmission of any unsolicited facsimile, wireless or telephone communication, electronic mail, direct mail, voicemail, telemarketing, or other communications; or
- b. violation of the Telephone Consumer Protection Act (TCPA), the CAN-SPAM Act of 2003 (CAN-SPAM), the Fair Credit Reporting Act (FCRA), the Fair and Accurate Credit Transaction Act (FACTA); or any other local, state, federal or foreign act, statute, rule or common law that addresses, prohibits or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information; including any amendments thereto or any regulations promulgated thereunder.

2. Corrections/Republication

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for the costs of correcting or re-performing services or content; including but not limited to the costs of reprinting, recalling, recovering, correction, reprocessing, restoring, repairing, removing, replacing or reproducing any products, property, materials, communications, data or information of any kind.

3. Royalties

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for any **Claim** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged:

- a. failure to maintain required licenses; or
- b. payment of or failure to pay royalties, sums, deposits, commissions, charges or fees assessed by licensing organizations or others, or restitution paid to or payable by any **Insured**.

4. Product Recall

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for any **Claim** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged recall, inspection, repair, replacement, supplement, removal, disposal or upgrade of any of the **Insured's** products, including products that incorporate the **Insured's** products or services, from the marketplace.

5. Over-Redemption

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for the value of coupons, price discounts, prizes, awards, cost guarantees, or any other valuable consideration given in excess of the total contracted or expected amount.

6. Credits and Promotions

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for the value of any discounts, service credits, rebates, price reductions, coupons, prizes, awards, contractual or non-contractual incentives, promotions, or inducements offered by or to a third party.

7. Freelancing

No coverage shall be afforded under Insuring Agreements B.4. or B.5. for any **Claim** directly or indirectly based upon, arising out of, or attributable to, in whole or in part, any actual or alleged act, error, or omission that was performed outside of an **Insured Person's** scope of employment or duties with the **Insured**.



IV. LIMITS OF INSURANCE AND RETENTION

A. Limits of Insurance

1. Policy Aggregate Limit of Insurance

The **Insurer's** maximum aggregate Limit of Insurance for all **Loss** and other amounts payable under this Policy, on account of all **Claims** and **Incidents** for which coverage is provided under all Insuring Agreements, is the Policy Aggregate Limit of Insurance set forth in Item 4. of the Declarations. This is the most the **Insurer** shall pay under this Policy. If the Policy Aggregate Limit of Insurance is exhausted by the payment of **Loss** or any other amounts payable under this Policy, then the **Insurer's** obligations with respect to the payment of **Loss** or any other amounts payable under this Policy shall be completely fulfilled and extinguished.

2. Each Insuring Agreement Limit of Insurance

The **Insurer's** maximum Limit of Insurance for all **Loss** or all other amounts payable under this Policy, as applicable, on account of all **Claims** and all **Incidents** for which coverage is provided under a particular Insuring Agreement of this Policy, shall not exceed the applicable Insuring Agreement Limit of Insurance set forth in Item 5. of the Declarations. The applicable Insuring Agreement Limit of Insurance is part of, and not in addition to, the Policy Aggregate Limit of Insurance set forth in Item 4. of the Declarations.

3. Non-Stacking of Limits

If a single **Claim** is subject to more than one Limit of Insurance, or a single **Incident** is subject to more than one Limit of Insurance, then the relevant Limits of Insurance shall be applied separately to the different parts of such **Claim** or **Incident**, but the **Insurer's** maximum aggregate amount payable for a single **Claim** or a single **Incident** shall not exceed the largest applicable Each Claim or Each Incident Limit of Insurance.

If any **Claim** or **Incident** for which coverage is provided under this Policy gives rise to coverage both under this Policy and under any other policy or policies issued by the **Insurer** or any of the **Insurer's** affiliates, regardless of the policy period of such policy, the maximum aggregate Limit of Insurance under all such policies for all **Loss** in respect of such **Claim** or **Incident** will not exceed the largest single available Limit of Insurance under any such policy, including this Policy. In no event will more than one policy issued by the **Insurer** respond to provide coverage for a **Claim** or **Incident**.

4. Defense Within Limits

Defense Expenses incurred in the defense of any **Claim** will be part of, and not in addition to, the applicable Limit of Insurance. **Defense Expenses** will erode and may exhaust the applicable Limit of Insurance.

B. Retention

1. The **Insurer's** liability for **Loss** on account of each **Claim** or each **Incident** shall apply only to that part of **Loss** that is excess of the applicable Retention set forth in Item 5. of the Declarations.
2. The **Insured** shall bear, uninsured and at its own risk, the full amount of any applicable Retention.
3. If a single **Claim** or a single **Incident** is subject to more than one Retention, then each applicable Retention shall be applied separately to each part of such **Claim** or **Incident**, but the sum of such Retentions shall not exceed the single largest applicable Retention.
4. Coverage under the Business Interruption Insuring Agreement and Dependent Business Interruption Insuring Agreement will only apply after the applicable **Waiting Period** has expired, and the **Insurer's** obligation to indemnify the **Named Insured** for **Business Interruption Loss** sustained during the **Period of Restoration** is in excess of the Retention.

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5. Coverage under the Reputational Loss Insuring Agreement will only apply after the applicable **Waiting Period** has expired, and the **Insurer's** obligation to indemnify the **Named Insured** for **Reputational Loss** sustained during the **Period of Indemnity** is in excess of the Retention.
 6. Satisfaction of the applicable Retention by the **Insured** is a condition precedent to the payment of any **Loss** or other amounts payable under this Policy, and the **Insurer** will be liable only for the amounts in excess of such Retention.

V. NOTICES AND REPORTING OF CLAIMS, POTENTIAL CLAIMS, AND INCIDENTS

A. Notice of Claims

As a condition precedent to coverage, the **Insurer** must receive written notice from the **Insured** at the address stated in Item 8. of the Declarations of any **Claim** as soon as practicable after an **Executive Officer** becomes aware of such **Claim**, but in no event later than sixty (60) days after the end of the **Policy Period**; or if an Extended Reporting Period applies, no later than the expiration of the applicable Extended Reporting Period. The written notice provided by the **Insured** must include a copy of the actual complaint, written demand, or other documentation evidencing the **Claim**.

B. Notice of Potential Claims

1. If, during the **Policy Period**, the **Insured** first becomes aware of a **Wrongful Act** which the **Insured** reasonably believes may result in a **Claim** against an **Insured** for which coverage may be provided under this Policy, the **Insured** may provide written notice of such **Wrongful Act** to the **Insurer** at the address stated in Item 8. of the Declarations. If the **Insurer** receives such written notice complying with the terms of this Section V.B. during the **Policy Period**, then any subsequent **Claim** against the **Insured** arising out of such **Wrongful Act** will be deemed to have been first made on the date that such notice was received by the **Insurer**, and all terms and conditions in effect at that time shall apply.
2. The notice required by paragraph B.1. above must include:
 - a. A description of the **Wrongful Act**, including the date and where it took place;
 - b. The identity of any parties which may be involved, including any **Insured** and potential claimant; and
 - c. The nature of the injury or loss.
3. The **Insurer** may, at the **Insurer's** option, investigate any such **Wrongful Act** and, if in its sole discretion the **Insurer** deems it appropriate, assign counsel for the **Insured** to investigate, resolve, or settle any potential **Claim** in connection with the **Wrongful Act**. If the **Insurer** decides to investigate, resolve, or settle any potential **Claim**, the applicable Retention must be paid by the **Insured**, and any **Defense Expenses** or settlement amount paid by the **Insurer** will reduce the applicable Limit of Insurance.

C. Notice of Incidents

1. As a condition precedent to coverage, the **Insurer** must receive written notice from the **Insured** at the address stated in Item 8. of the Declarations of any **Incident**, as soon as practicable after an **Executive Officer** first **Discovers** such **Incident**.
2. The notice required by paragraph C.1. above must include all information that the **Insurer** reasonably requires, including, but not limited to, full particulars as to the dates, persons, and entities involved in the **Incident** and the manner in which the **Insured** first became aware of the **Incident**.
3. Notice of an **Incident** is deemed a Notice of a Potential Claim under Section V.B. above. Any resulting **Claim** from such **Incident** will be deemed to have been made when such **Incident** is first **Discovered**.

VI. INTERRELATED CLAIMS AND INCIDENTS

- A. The inclusion of more than one **Insured** with respect to any **Claim** or **Incident** shall not operate to increase the Limits of Insurance of this Policy.

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- B. All **Claims** that are **Interrelated** shall be treated as a single **Claim**, and all such **Claims** shall be deemed first made when the earliest such **Claim** is made, whether before or during the **Policy Period**.
 - C. All **Incidents** that are **Interrelated** shall be treated as a single **Incident** and all such **Incidents** shall be deemed to have been **Discovered** when the earliest such **Incident** is **Discovered**, whether before or during the **Policy Period**.
 - D. With respect to **Claims** and **Incidents** that are **Interrelated**, all such **Claims** shall be deemed first made on the earlier of either the date that the first such **Claim** is made, or the date that the first such **Incident** is **Discovered**, as applicable, whether before or during the **Policy Period**, whichever is earlier.

VII. DEFENSE AND SETTLEMENT OF CLAIMS

A. Duty to Defend

- 1. The **Insurer** has the right and duty to defend any **Claim**, for which coverage is afforded under the Third Party Liability Insuring Agreements, first made against an **Insured** during the **Policy Period**, even if the allegations in the **Claim** are groundless, false, or fraudulent. The **Insurer** will select and appoint defense counsel with respect to any such **Claim**.
- 2. **Defense Expenses** incurred in the defense of such **Claims** will be part of, and not in addition to, the applicable Limit of Insurance. **Defense Expenses** will erode and may exhaust the applicable Limit of Insurance.
- 3. The **Insurer** will have no duty to defend or continue to defend any **Claim** after the applicable Limit of Insurance has been exhausted by the payment of **Loss, Defense Expenses**, or other amounts for which coverage is provided under this Policy.
- 4. Provided however, that the **Insurer** shall have no duty to defend any **Claim** brought outside of the United States of America or its territories. The **Insured** shall have the sole duty to defend any such **Claim**. The **Insured** shall have the right to select defense counsel subject to the **Insurer's** prior written consent, which the **Insurer** shall not unreasonably withhold or delay. The **Insurer** will reimburse the **Insured** for covered **Defense Expenses** and **Loss** as incurred by the **Insured**, subject to the applicable Limits of Insurance set forth in Items 5. of the Declarations, and in excess of the applicable Retention set forth in Item 5. of the Declarations. The **Insured** and such defense counsel shall fully cooperate with and provide current information and documentation regarding such **Claim** to the **Insurer** at its request.

B. Settlement

- 1. The **Insured** agrees not to incur any **Defense Expenses**, settle, or offer to settle any **Claim**, or otherwise assume any contractual obligation, stipulate to any judgment or order, or admit any liability with respect to any **Claim** without the **Insurer's** prior written consent, which the **Insurer** shall not unreasonably withhold or delay.
- 2. The **Insurer** shall have the right to settle any **Claim**, subject to the prior consent of the **Insured** which shall not be unreasonably withheld.
- 3. If the **Insured** refuses to consent to any settlement recommended by the **Insurer** and acceptable to the claimant, the **Insurer's** liability for such **Claim** will not exceed:
 - a. the amount for which the **Claim** could have been settled, less the remaining Retention, plus the **Defense Expenses** incurred up to the time of such refusal; and
 - b. eighty percent (80%) of any **Loss**, including any **Defense Expenses, PCI Assessments**, and **Regulatory Costs** incurred after the date such settlement was recommended to the **Insured**;

and the **Insurer** will have the right to withdraw from the further defense of such **Claim**.



VIII. DUTY OF COOPERATION

- A. Each and every **Insured** has a duty to cooperate with the **Insurer** in the investigation, defense, and settlement of any **Incident** and **Claim**. The **Insured** will not take any action that would prejudice or otherwise impair the **Insurer's** position or rights of recovery. The **Insureds** will provide the **Insurer** with any information that the **Insurer** reasonably requests in connection with any **Incident** and **Claim** for which coverage is sought or provided under this Policy. Upon the **Insurer's** request, **Insureds** will attend any depositions, hearings or trials, assist in obtaining evidence and the cooperation of witnesses, and assist in effecting settlement. All such cooperation will be without cost to the **Insurer** except as stated in the coverage provided by this Policy.
- B. For the Business Interruption Insuring Agreement and Dependent Business Interruption Insuring Agreement, the **Insured** must provide the **Insurer** with all of the documentation and information needed to demonstrate and calculate its claimed **Business Interruption Loss**. Should the **Insured** need assistance in calculating its **Business Interruption Loss**, or if a dispute arises between the **Insurer** and the **Insured** regarding the value of the **Business Interruption Loss**, the **Insured** shall have the option to incur **Accounting Costs** and appoint an independent forensic accountant, so long as they are a **Preferred Provider**. Such **Accounting Costs** will reduce the applicable Limits of Insurance and be subject to any applicable Retention.

IX. ALLOCATION

If any matter covered under this Policy includes both covered and non-covered allegations, or is brought against covered and non-covered persons or entities, the **Insurer** and the **Named Insured** agree that all **Loss** must be allocated between covered and uncovered amounts. The **Insurer** will endeavor to reach an agreed upon allocation with the **Named Insured**. In the event that no agreement is reached, the **Insurer** will pay the allocated portion of **Loss** that the **Insurer** deems fair and reasonable until an agreement can be reached. Further, if there is no agreement on allocation, there will not be any presumption as to allocation in any suit, arbitration, or other proceeding. **Defense Expenses** will not be subject to allocation.

X. SUBROGATION

- A. In the event of any payment under this Policy, the **Insurer** will be subrogated to all of the **Insured's** rights against any person or entity. The **Insured** will do everything necessary to preserve such rights, including, but not limited to, executing any documents needed to permit the **Insurer** to bring suit in the **Insured's** name and otherwise assisting the **Insurer** in the pursuit of any recovery. The **Insured** will not take any action that would prejudice or otherwise impair the **Insurer's** position or any rights of recovery.
- B. Any amounts so recovered pursuant to paragraph A. above, whether effected by the **Insurer** or by the **Insured**, shall be allocated as follows:
1. First, for the repayment of expenses incurred towards subrogation;
 2. Second, for any **Loss** incurred by the **Insured** which is in excess of the applicable Limit of Insurance under this Policy and which is excess of any amount paid by any insurer under any other policy;
 3. Third, for any **Loss** incurred by any excess carrier on behalf of the **Insured**;
 4. Fourth, for any **Loss** incurred by the **Insurer**; and
 5. Last, for repayment of the **Insured's** Retention amount.

XI. RESPONSIBILITIES OF THE NAMED INSURED

- A. By acceptance of this Policy, the **Named Insured** set forth in Item 1. of the Declarations agrees that it shall be considered the sole agent of, and shall act on behalf of, each **Insured** with respect to:
1. The payment of premiums and the receiving of any return premiums that may become due under this Policy;
 2. The payment of any Retention due under this Policy;
 3. The receipt of any payments due under this Policy;
 4. The settlement of any **Claim** under this Policy;
 5. The negotiation, agreement to and acceptance of endorsements; and
 6. The giving or receiving of any notice provided for in this Policy or pursuant to applicable law.



Each **Insured** agrees that the **Named Insured** shall act on its behalf with respect to all such matters.

XII. REPRESENTATIONS/SEVERABILITY

- A. The **Named Insured** represents and warrants that all statements and representations provided in and with the **Application** are true, accurate, and complete, and agrees that such statements and information are material to the risk assumed and that the **Insurer** issued this Policy on the basis of those statements and representations.
- B. With respect to all statements and representations contained in the **Application**, no knowledge possessed by any **Insured Person** will be imputed to any other **Insured Person**.
- C. The **Insureds** agree that in the event any such statements or representations in the **Application** are untrue or inaccurate and materially affect either the acceptance of the risk or the hazard assumed by the **Insurer**, then no coverage will be afforded with respect to the following **Insureds**, for any **Claim** or **Incident** based upon or arising out of the information that was not truthfully or accurately disclosed in the **Application**:
1. any **Insured Person** who knew, as of the Effective Date of this Policy, that the statement or representation was untrue or inaccurate; and
 2. any **Insured Entity**, if an **Executive Officer** or General Counsel (or any individual in a functionally equivalent position) of the **Named Insured**, or person who signed the **Application**, knew that the statement or representation was untrue or inaccurate.

Whether an **Insured Person** had such knowledge will be determined without regard to whether the **Insured Person** actually knew the **Application** contained any such untrue or inaccurate statement or representation.

XIII. CORPORATE TRANSACTIONS

A. Newly Created or Acquired Entities

1. If, during the **Policy Period**, the **Named Insured** or another **Insured Entity** acquires or creates a **Subsidiary** where the total annual revenues of such entity are less than ten percent (10%) of the **Insured Entity's** total annual revenues, then such entity shall be included within the definition of **Insured Entity**.
2. If, during the **Policy Period**, the **Named Insured** or another **Insured Entity**:
 - a. acquires or creates a **Subsidiary** where the total annual revenues of such entity are ten percent (10%) or more of the **Insured Entity's** total annual revenues; or
 - b. merges or consolidates with another entity such that the **Insured Entity** is the surviving entity;

then for a period of sixty (60) days after the effective date of the transaction, or until the cancellation or termination of this Policy (whichever is shorter), such entity shall be included within the definition of **Insured Entity**.

Thereafter, there will be no coverage under this Policy for any **Claim** or **Incident** based upon, arising out of, or relating to such entity, unless within such sixty (60) day period, the **Insured** has notified the **Insurer** in writing, and the **Insurer** has specifically agreed, by written endorsement to this Policy, to provide coverage for such entity and the **Insured Entity** has accepted any terms, conditions, exclusions, or limitations, including payment of additional premium, as the **Insurer** may impose in connection with such transaction.

3. Absent any specific provision to the contrary, coverage for any **Subsidiary** acquired, or **Insured Persons** of any entity merged or consolidated with an **Insured Entity** pursuant to paragraph 2.b. above, before or during the **Policy Period**, shall only apply with respect to **Claims** for **Wrongful Acts**, or **Incidents**, that first commenced after the effective date of such transaction.

B. Change in Control; Cessation of Business

1. If, during the **Policy Period** the **Named Insured** (any of the following events is referred to in this Section as a "Change in Control"):

- 
- a. is dissolved, sold, acquired by, merged into, or consolidated with another entity such that the **Named Insured** is not the surviving entity, or such that any person, entity, or affiliated group of persons or entities obtains:
 - i. the right to elect or appoint more than fifty percent (50%) of the **Named Insured's** directors, trustees, or members of the board of managers, as applicable; or
 - ii. more than fifty percent (50%) of the **Named Insured's** equity or assets;
 - b. ceases to do business for any reason; or
 - c. has a receiver, liquidator, conservator, trustee, rehabilitator, or similar administrator appointed;

then in any such event, coverage under this Policy for all **Insureds** shall continue in full force and effect until the Expiration Date listed on Item 3. of the Declarations, but this Policy shall apply only to **Claims** relating to **Wrongful Acts** that first commenced, or **Incidents** that are first **Discovered**, prior to the effective date of such Change in Control. In such event, the Policy shall become non-cancellable and the entire premium shall be deemed fully earned by the **Insurer**.

C. Cessation of Subsidiaries

If, before or during the **Policy Period**, any **Insured Entity** ceases to be a **Subsidiary**, coverage under this Policy for such **Subsidiary** and its **Insured Persons** shall continue in full force and effect until the Expiration Date listed on Item 3. of the Declarations or any earlier cancellation date, but shall only apply to **Wrongful Acts** that first commenced, or **Incidents** that are first **Discovered**, prior to the time such entity ceased to be a **Subsidiary**.

XIV. EXTENDED REPORTING PERIOD

The following provisions are applicable to the Third Party Insuring Agreements included in this Policy only.

- A. If the **Named Insured** cancels or fails to renew this Policy, or if the **Insurer** refuses to renew this Policy, then the **Named Insured** shall have the option to purchase an Optional Extended Reporting Period for the additional period and additional premium set forth in the Declarations. This option shall not apply in the event of cancellation due to non-payment of premium by the **Insured**.
- B. The right to purchase an Optional Extended Reporting Period shall lapse unless written notice of the election to purchase the Optional Extended Reporting Period, together with payment of the applicable additional premium, is received by the **Insurer** within sixty (60) days after the Expiration Date listed on Item 3. of the Declarations or the effective date of the cancellation of this Policy.
- C. An offer of renewal terms and conditions or premiums different from those in effect prior to renewal shall not constitute refusal to renew by the **Insurer**.
- D. If an Optional Extended Reporting Period is purchased, then coverage otherwise afforded by this Policy shall be extended to apply to:
 - 1. **Claims** first reported to the **Insurer** during such Optional Extended Reporting Period and in accordance with Section V. of this Policy; and
 - 2. Only to the extent such **Claims** are for **Wrongful Acts** taking place on or after the **Retroactive Date** and before the end of the **Policy Period**.
- E. The entire premium for the Extended Reporting Period shall be deemed fully earned at the inception of such Extended Reporting Period.
- F. The Limit of Insurance for any Extended Reporting Period shall be the remaining portion, if any, of the applicable Limit of Insurance for the **Policy Period**. The purchase of the Extended Reporting Period shall not increase or reinstate the Limits of Insurance.

XV. NO ACTION AGAINST INSURER

No action may be brought against the **Insurer** unless, as a condition precedent, the **Insured** has complied with all of the Policy's terms and conditions, and the **Insured's** obligations to pay have been finally determined by judgment entered



against the **Insured** after an actual trial or arbitration hearing, or by written agreement among the **Insurer**, the **Insured**, and the claimant. Nothing in this Policy gives any person or entity the right to join the **Insurer** in any proceeding against the **Insured** to determine the **Insured's** liability.

XVI. CANCELLATION AND NON-RENEWAL

A. Cancellation by the Insurer

1. The **Insurer** may cancel this Policy:
 - a. for nonpayment of premium, by providing notice of cancellation to the **Named Insured** at least ten (10) days before the effective time of cancellation; or
 - b. for any reason permitted under applicable law other than nonpayment of premium, by providing notice of cancellation to the **Named Insured** at least sixty (60) days before the effective time of cancellation.
2. With respect to cancellation due to nonpayment of premium, payment in full must be received by the **Insurer** within ten (10) days of the **Named Insured's** receipt of such notice of cancellation. If premium in full is not received by the **Insurer** before the close of business on the last day of such ten (10) day notice period, the **Insurer** may void this Policy ab initio, as though this Policy were never in effect.
3. Notice of cancellation shall state the reason for cancellation and the effective date of cancellation.

B. Cancellation by the Named Insured

The **Named Insured** may cancel this Policy by providing advance written notice to the **Insurer**; provided that this Policy may not be canceled by the **Named Insured** after the effective date of any Extended Reporting Period or event described in Section XIII.B. Change in Control; Cessation of Business. If the **Named Insured** cancels this Policy, the notice must state the date on which the cancellation will become effective.

C. Earned Premium

If this Policy is canceled in accordance with the paragraphs A. or B. above, the earned premium will be computed pro rata. Provided however, that the premium will be deemed fully earned by the **Insurer** if any **Claim, Loss** or **Incident**, or any circumstance that could reasonably be the basis for a **Claim, Loss** or **Incident**, is reported to the **Insurer** on or before the date of cancellation.

Payment or tender of unearned premium is not a condition of cancellation.

D. Renewal

The **Insurer** is not required to renew this Policy upon its expiration. If the **Insurer** elects not to renew, it will provide the **Named Insured** written notice to that effect at least sixty (60) days before the Expiration Date listed on Item 3. of the Declarations.

XVII. BANKRUPTCY

The bankruptcy or insolvency of an **Insured** will not relieve the **Insurer** of its obligations under this Policy, nor does it limit any of the **Insurer's** rights or defenses under this Policy.

XVIII. OTHER INSURANCE AND INDEMNIFICATION

If any **Loss** under this Policy is insured under any other valid and collectible insurance policy (other than a policy that is issued specifically as excess of the insurance afforded by this Policy), this Policy shall be excess of and shall not contribute with such other insurance, regardless of whether such other insurance is stated to be primary, contributory, excess, contingent or otherwise.



XIX. NO ASSIGNMENT OF INTEREST

No **Insured** may assign any rights, duties, or interests under this Policy without the **Insurer's** prior written consent. Any assignment without the **Insurer's** prior written consent will be void. No change in, or modification of, this Policy shall be effective except when made by written endorsement to this Policy.

XX. TERRITORY

This Policy applies worldwide, other than any country, territory or location barred by the Office of Foreign Assets Control (OFAC) or by applicable law.

Provide however, that the **Insurer** shall have no duty to defend any **Claim** brought outside of the United States of America or its territories.

XXI. COMPLIANCE WITH ECONOMIC OR TRADE SANCTIONS

No payment may be made by the **Insurer** to the extent that any laws or regulations, trade sanctions, economic sanctions, embargos or similar programs, prohibit the **Insurer** from making such payment; including but not limited to such laws, regulations, or programs effective in the United States of America, European Union, or any other country or territory; or to the extent that the **Insured** or **Insurer** is required to be licensed or registered to make or receive payments in a country or territory.

XXII. VALUATION AND CURRENCY

A. All amounts referenced in this Policy, or payments made by the **Insurer**, will be in United States of America currency.

Except as otherwise provided in this Policy, if a judgment is rendered, a settlement is denominated or any element of **Loss** under this Policy is stated in a currency other than United States of America dollars, payment under this Policy shall be made in United States of America dollars at the rate of exchange published in *The Wall Street Journal* on the date the judgment becomes final, the amount of the settlement is agreed upon, or any element of **Loss** is due, respectively.

B. Valuation - Bricking

For a **Computer System** that needs to be replaced due to **Bricking**, the **Insurer** will only reimburse the **Insured** the lesser of:

1. The cost to repair the **Computer System** to the level of functionality that existed immediately preceding the **Network Security Incident**; or
2. The cost to replace the **Computer System** with devices and equipment that are functionally equivalent, even if such devices and equipment: (a) have technological advantages; (b) represent an improvement in function; or (c) form part of a program or system enhancement.

XXIII. NON-WAIVER

The **Insurer's** failure to exercise any of the **Insurer's** rights or enforce any provisions of this Policy will not be construed as a waiver of any other rights or provisions of this Policy.

XXIV. ENTIRE AGREEMENT

This Policy constitutes the entire agreement between the **Insurer** and the **Insureds**.

XXV. HEADINGS

Titles and headings used in this Policy are for convenience only and in no way limit, expand, or otherwise affect the substance of the corresponding text.



XXVI. GOVERNING LAW

The Policy will be governed under New York law. Any suit arising out of or related to this Policy will be brought in a court of competent jurisdiction in the state of New York and the **Insurer** will comply with all requirements necessary to give such court jurisdiction over the **Insurer** regarding such suit.

XXVII. ALTERNATIVE DISPUTE RESOLUTION

- A. It is hereby understood and mutually agreed by the **Insurer** and the **Insured** that all disputes or controversies that may arise out of or in connection with this Policy, whether arising before or after termination of this Policy, including the breach, termination, or invalidity thereof, shall be submitted to the Alternative Dispute Resolution ("ADR") process described in this section. Each party shall keep negotiations and documents exchanged pursuant to this section confidential and shall treat same as compromise and settlement negotiations for the purposes of the Federal Rules of Evidence and state rules of evidence.
- B. Each party shall attempt in good faith to promptly resolve any such dispute or controversy that may arise out of or in connection with this Policy by negotiations between representatives of the **Insurer** and **Insured** who have authority to settle the controversy. Either party may give the other party written notice triggering this clause for any dispute not resolved in the normal course of business. Within thirty (30) days, the receiving party shall submit to the other a written response. Each party shall include in their notice or response a statement of the party's position. Within thirty (30) days after delivery of the disputing party's notice, and thereafter as often as they reasonably deem necessary, the representatives of both parties shall meet at a mutually acceptable time and place to attempt to resolve the dispute. All reasonable requests for information made by one party to the other will be honored. If the matter is not resolved within ninety (90) days, or if the parties fail to meet within thirty (30) days of the disputing party's notice, either party may initiate mediation of the dispute or controversy as provided hereinafter.
- C. As a condition precedent to any right of action hereunder, in the event that a good faith effort to negotiate pursuant to paragraph B. above cannot resolve a dispute or difference between the **Insurer** and the **Insured** involving the Policy, it is hereby mutually agreed that such dispute or difference shall be determined by a binding arbitration submitted to any arbitration facility in New York to which the **Insured** and the **Insurer** mutually agree, in which the arbitration panel shall consist of three disinterested individuals. The arbitrators shall have knowledge of the legal, corporate management, or insurance issues relevant to the matters in dispute. In the event of arbitration, the decision of the arbitrators shall be provided to both parties, and the award of the arbitrators shall not include attorneys' fees or other costs.
- D. In all events, each party shall share equally the expenses of the ADR process. The ADR processes will take place in New York, New York and will be governed by New York law.

Endorsement Number: NA

Endorsement Effective Date: NA

Policy Number: YPB-704221-00

Named Insured: Arnold Palmer Enterprises, Inc.

Insurer: Homesite Assurance Company (NAIC 11156)

A Surplus Lines Insurance Carrier, A.M. Best Rated A XV

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ENHANCED eCRIME (INCLUDE OTHER PROPERTY)

This Endorsement shall be attached to and form a part of the Cyber Protect Policy.

In consideration of the premium charged, it is hereby understood and agreed that:

A. For the purposes of this endorsement only, Item 5. of the Declarations, Coverage Schedule, is amended by addition of the following:

Insuring Agreement	Retention (Each Claim)	Aggregate Limit of Insurance
eCrime	\$10,000	\$250,000

B. For the purposes of this endorsement only, Section I. INSURING AGREEMENTS is amended by addition of the following:

eCrime Insuring Agreement

The **Insurer** will pay on behalf of the **Insured**, in excess of the **Retention** and subject to the Limit of Insurance stated in the Schedule above, direct loss of **Money and Securities** or **Other Property** resulting from **eCrime** that is first **Discovered** during the **Policy Period** and is reported in writing to the **Insurer** in accordance with Section V. of this Policy.

C. The Limit of Insurance listed in the Schedule above shall be part of, and not in addition to, the Aggregate Limit of Insurance set forth in Item 4. of the Declarations.

D. For the purposes of this endorsement only, Section II. DEFINITIONS is amended to include the following definitions:

1. **eCrime** means the following:

- Fraudulent Instruction** ;
- Funds Transfer Fraud** ;
- Invoice Manipulation** ; and
- Telecom Fraud** .

2. **Fraudulent Instruction** means the transfer, payment, or delivery of **Money and Securities** or **Other Property** by an **Insured** as a result of fraudulent written, electronic, telegraphic, cable, teletype, or telephone instructions communicated to the **Insured** by a third party, that are intended to mislead an **Insured** through the misrepresentation of a material fact which is relied upon in good faith by the **Insured** .

3. **Funds Transfer Fraud** means the loss of **Money and Securities** held in a **Transfer Account** at a financial institution resulting from fraudulent written, electronic, telegraphic, cable, teletype, or telephone instructions by a third party issued to a financial institution directing such institution to transfer, pay, or deliver **Money and Securities** from any account maintained by the **Insured Entity** at such institution, without the **Insured Entity's** knowledge or consent.

4. **Invoice Manipulation** means the **Insured's** release, payment, or distribution of any fraudulent invoice or fraudulent payment instruction to a third party as a direct result of a **Network Security Incident** .
5. **Other Property** means any tangible property other than **Money and Securities** that has intrinsic value.

Provided however, that **Money and Securities** shall not include computer programs, electronic data or any other property specifically excluded by this endorsement.

6. **Telecom Fraud** means the unauthorized access to, or use of, the **Insured Entity's** telecommunications systems by a person or entity other than an **Insured Person** for financial gain to a third party.
7. **Transfer Account** means an account maintained by the **Insured Entity** at a financial institution from which the **Insured Entity** can initiate the transfer, payment, or delivery of **Money and Securities** .

- E. For the purposes of this endorsement only, Section III. EXCLUSIONS is amended by addition of the following exclusions:

The coverage provided by this Policy will not apply to any **Loss** directly or indirectly based upon or arising out of, in whole or in part, regardless of any other cause or event that contributes concurrently or in any sequence to the **Loss** or damage, any actual, alleged, threatened, or potential:

1. **Use of Cards**

use of credit, debit, charge, access, convenience, customer identification, or other cards or the information contained on such cards;

2. **Liability to Third Parties**

liability to any third party, or any indirect or consequential loss of any kind;

provided however, that this exclusion shall not apply to an otherwise covered **Loss** for direct compensatory damages arising directly from **Funds Transfer Fraud** ;

3. **Legal Costs or Legal Expenses**

legal costs or legal expenses;

4. **Proving Existence of eCrime**

proving or establishing the existence of **eCrime** ;

5. **Third Party Transfers**

transfer involving a third party who is not an **Insured** , but had authorized access to the **Insured's** authentication mechanism;

6. **Processing Errors**

processing of, or the failure to process, credit, check, debit, personal identification number debit, electronic benefit transfers, or mobile payments for merchant accounts;

7. **Accounting Errors**

accounting or arithmetical errors or omissions, or the failure, malfunction, inadequacy, or illegitimacy of any product or service;

8. **Covered by Financial Institution Bond or Commercial Crime Policy**

loss that is the type or kind covered by the **Insured's** financial institution bond or commercial crime policy;

9. **Fraudulent, Dishonest, or Criminal Acts by Insureds**

fraudulent, dishonest, or criminal act or omission by, or involving, any **Insured** ;

10. **Indirect or Consequential Loss**

indirect or consequential loss of any kind;

11. **Punitive, Exemplary, or Multiplied Damages**

punitive, exemplary, or multiplied damages of any kind;

12. **Fines or Penalties**

finances or penalties of any kind;

13. **Loss of Tax Benefit**

loss of any tax benefit;

14. **Loss of Confidential and Private Information**

theft, disappearance, destruction of, unauthorized access to, or unauthorized use of **Confidential and Private Information** , including, but not limited to, a PIN or security code; or

15. **Forgery**

forged, altered, or fraudulent negotiable instruments, securities, documents, or instructions.

F. For the purposes of this endorsement only, Section III. Exclusions, paragraph A. **Exclusions Applicable to all Insuring Agreements** , Exclusion 6. **Trading Losses and Loss of Money** , sub-paragraph b. shall not apply.

G. For the purposes of this endorsement only, Section V. NOTICES AND REPORTING OF CLAIMS, POTENTIAL CLAIMS, AND INCIDENTS is amended by addition of the following:

1. As a condition precedent to coverage, the **Insurer** must receive written notice from the **Insured** at the address stated in Item 8. of the Declarations of any **eCrime** , as soon as practicable after an **Executive Officer** first **Discovers** such **eCrime** .
2. The notice required by sub-paragraph 1. above must include all information that the **Insurer** reasonably requires, including full particulars as to the dates, persons and entities involved in the **eCrime** and the manner in which the **Insured** first became aware of the **eCrime** .

If this endorsement is issued after the Policy has been issued, it is deemed to have been added to the list of forms and endorsements on the Declarations or any Schedule attached to this Policy.

All other terms and conditions of this Policy remain unchanged.

Endorsement Number: NA

Endorsement Effective Date: NA

Policy Number: YPB-704221-00

Named Insured: Arnold Palmer Enterprises, Inc.

Insurer: Homesite Assurance Company (NAIC 11156)

A Surplus Lines Insurance Carrier, A.M. Best Rated A XV

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

AMEND NOTICE PROVISION – COOPERATION WITH LAW ENFORCEMENT AUTHORITIES

This Endorsement shall be attached to and form a part of the Cyber Protect Policy.

In consideration of the premium charged, it is hereby understood and agreed that:

Section V. NOTICES AND REPORTING OF CLAIMS, POTENTIAL CLAIMS, AND INCIDENTS is amended by addition of the following:

Law Enforcement Cooperation

If an **Insured** receives a request from a law enforcement authority to keep confidential certain information about an actual or possible **Incident** or **Wrongful Act**, then the notice requirements stated above regarding such **Incident**, or **Claim** arising out of such **Wrongful Act**, shall be considered satisfied under the Policy if and only to the extent that:

1. The **Insured** affirmatively requests permission from law enforcement, as soon as possible, to share such information with the **Insurer**;
2. The **Insured** only withholds from the **Insurer** that portion of the information that it has been instructed by law enforcement not to disclose to the **Insurer**; and
3. The **Insured** provides full notice of such **Claim** or **Incident** to the **Insurer** as soon as permitted by such law enforcement authority.

Notwithstanding the above, there will be no coverage provided for any **Claim** or **Incident** if the information withheld relating to such **Claim** or **Incident** was: (a) known to the **Insured** prior to the Effective Date stated in the Declarations and was not disclosed in the **Application** for this Policy; or (b) was reported and accepted under any other prior policy providing substantially similar coverage issued by any other insurer to the **Named Insured**.

In all instances, the **Insured** must provide notice, no later than one hundred-eighty (180) days after the **Policy Period**, and unless such **Incident** or **Claim** is reported in accordance with the obligations under paragraphs A., B., or C. of Section V., there shall be no coverage in connection with such **Incident** or **Claim**.

If this endorsement is issued after the Policy has been issued, it is deemed to have been added to the list of forms and endorsements on the Declarations.

All other terms and conditions of this Policy remain unchanged.

Endorsement Number: NA

Endorsement Effective Date: NA

Policy Number: YPB-704221-00

Named Insured: Arnold Palmer Enterprises, Inc.

Insurer: Homesite Assurance Company (NAIC 11156)

A Surplus Lines Insurance Carrier, A.M. Best Rated A XV

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

POLICY AMENDATORY

This Endorsement shall be attached to and form a part of the Cyber Protect Policy.

In consideration of the premium charged, it is hereby understood and agreed that:

I. AMEND DECLARATIONS – EXTENDED REPORTING PERIOD

Item 6. of the Declarations, Extended Reporting Period, is deleted in its entirety and replaced with the following:

Item 6.	Extended Reporting Period
Term	Percentage of Annual Premium
1 Year	100%
2 Years	150%
3 Years	200%
4 Years	225%
5 Years	250%
6 Years	275%

II. AMEND FIRST PARTY INSURING AGREEMENTS – ADD PAY ON BEHALF OF LANGUAGE

In Section I. INSURING AGREEMENTS, paragraph A. **First Party Loss** , the preamble is deleted in its entirety and replaced with the following:

The **Insurer** will pay on behalf of the **Insured Entity** , in excess of the Retention and subject to the Limit of Insurance stated in the Declarations:

III. TRIGGERING PERIOD – APPLICABLE TO BUSINESS INTERRUPTION LOSS

A. Solely with respect to the Business Interruption Insuring Agreement and Dependent Business Interruption Insuring Agreement, Item 5. of the Declarations, Limits of Insurance and Retention, is deleted in its entirety and replaced with the following:

		Period of Restoration	Triggering Period	Retention (Each Incident)	Aggregate Limit of Insurance
Business Interruption (BI)	BI Incident	365 Days	8 Hours	\$0	\$2,000,000
	BI System Failure	365 Days	8 Hours	\$0	\$2,000,000
Dependent Business Interruption (DBI)	DBI Incident	365 Days	8 Hours	\$0	\$2,000,000
	DBI System Failure	365 Days	8 Hours	\$0	\$2,000,000

- B. Section I. INSURING AGREEMENTS, Insuring Agreement A.5. **Business Interruption Insuring Agreement** is deleted in its entirety and replaced with the following:

5. **Business Interruption Insuring Agreement**

- a. Business Interruption Loss Caused by a Business Interruption Incident

Business Interruption Loss that is directly caused by a **Business Interruption Incident** that is first **Discovered** during the **Policy Period** .

Coverage afforded under this Insuring Agreement is subject to a **Triggering Period** . Coverage is only provided where the **Period of Restoration** exceeds the applicable **Triggering Period** , in which case the **Business Interruption Loss** will be measured from the inception of the **Business Interruption Incident** .

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration** .

- b. Business Interruption Loss Caused by a System Failure

Business Interruption Loss that is directly caused by a **System Failure** that is first **Discovered** during the **Policy Period** .

Coverage afforded under this Insuring Agreement is subject to a **Triggering Period** . Coverage is only provided where the **Period of Restoration** exceeds the applicable **Triggering Period** , in which case the **Business Interruption Loss** will be measured from the inception of the **System Failure** .

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration** .

- C. Section I. INSURING AGREEMENTS, Insuring Agreement A.6. **Dependent Business Interruption Insuring Agreement** is deleted in its entirety and replaced with the following:

6. **Dependent Business Interruption Insuring Agreement**

- a. Business Interruption Loss Caused by a Dependent Business Interruption Incident

Business Interruption Loss that is directly caused by a **Dependent Business Interruption Incident** that is first **Discovered** during the **Policy Period** .

Coverage afforded under this Insuring Agreement is subject to a **Triggering Period** . Coverage is only provided where the **Period of Restoration** exceeds the applicable **Triggering Period** , in which case the **Dependent Business Interruption Loss** will be measured from the inception of the **Dependent Business Interruption Incident** .

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration** .

- b. Business Interruption Loss Caused by a Dependent System Failure

Business Interruption Loss that is directly caused by a **Dependent System Failure** that is first **Discovered** during the **Policy Period** .

Coverage afforded under this Insuring Agreement is subject to a **Triggering Period** . Coverage is only provided where the **Period of Restoration** exceeds the applicable **Triggering Period** , in which case the **Dependent Business Interruption Loss** will be measured from the inception of the **Dependent System Failure** .

Coverage afforded under this Insuring Agreement shall only apply during the applicable **Period of Restoration** .

D. Section II. DEFINITIONS, Definition TT. **Period of Restoration** is deleted in its entirety and replaced with the following:

TT. **Period of Restoration** means the applicable period of time stated in the Declarations, which begins after the inception of the **Business Interruption Incident** , **Dependent Business Interruption Incident** , **System Failure** , or **Dependent System Failure** . The **Period of Restoration** ends on the earlier of:

1. the expiration of the period of time stated in the Declarations; or
2. when the **Insured Entity's** business operations have been restored for a consecutive twenty-four (24) hour period to the level of operations that existed immediately before the **Business Interruption Incident** , **Dependent Business Interruption Incident** , **System Failure** , or **Dependent System Failure** .

The **Insured Entity's** level of operations is determined by its capacity to provide the products or services it offered immediately before the **Business Interruption Incident** , **Dependent Business Interruption Incident** , **System Failure** , or **Dependent System Failure** .

E. Section II. DEFINITIONS is amended by addition of the following definition:

Triggering Period means the applicable number of hours set forth in the Declarations, which is the minimum length of **Period of Restoration** required for any coverage to apply under the Business Interruption Insuring Agreement or Dependent Business Interruption Insuring Agreement.

F. Section IV. LIMITS OF INSURANCE AND RETENTION, paragraph B.4. is deleted in its entirety and replaced with the following:

4. Coverage under the Business Interruption Insuring Agreement and Dependent Business Interruption Insuring Agreement is subject to a **Triggering Period** , and the **Insurer's** obligation to indemnify the **Named Insured** for **Business Interruption Loss** sustained during the **Period of Restoration** is in excess of the Retention.

IV. ACCOUNTING COSTS – SUBJECT TO SUBLIMIT

With respect to Insuring Agreements A.5.a., A.5.b., A.6.a., and A.6.b., the maximum coverage available for all **Accounting Costs** from all **Incidents** under the Business Interruption Insuring Agreement and Dependent Business Interruption Insuring Agreement for which coverage is provided under this Policy shall be subject to a Sublimit of Insurance of \$100,000 excess of the Retention stated in Item 5. of the Declarations. Such Sublimit of Insurance shall be part of, and not in addition to, the Aggregate Limit of Insurance set forth in Item 4. of the Declarations.

V. BETTERMENT COSTS COVERAGE

The **Insurer** will pay on behalf of the **Insured Entity** , costs and expenses to improve a **Computer System** after a **Network Security Incident** for which coverage is provided under this Policy.

Provided however, that the Limit of Insurance for such costs and expenses is no more than 25 percent greater than the cost or expense that would have been incurred to repair or replace the **Computer System** before the **Network Security Incident** and excess of the Retention in the amount of \$10,000. Such Limit of Insurance shall be part of, and not in addition to, the Aggregate Limit of Insurance under all Insuring Agreements set forth in Item 4. of the Declarations.

The **Insurer** will not pay any costs or expenses for acquiring or installing a **Computer System** that did not form a part of the **Insured's Computer System** prior to the **Network Security Incident** .

For purposes of this paragraph only, Section III. EXCLUSIONS, paragraph B. **Exclusions Applicable to First Party Insuring Agreements Only** , Exclusion 1. **Betterment Costs** shall not apply.

VI. CONTINGENT BODILY INJURY/PROPERTY DAMAGE COVERAGE – SUBJECT TO SUBLIMIT

The **Insurer** will pay on behalf of the **Insured** , **Loss** , which the **Insured** becomes legally obligated to pay because of a **Claim** first made against the **Insured** during the **Policy Period** or any applicable Extended Reporting Period, for **Bodily Injury** or **Property Damage** to a third party (not an **Insured**) caused by a **Privacy Incident** or a **Network Security Incident** , that takes place on or after the **Retroactive Date** and before the end of the **Policy Period** .

It is a condition precedent to coverage under this paragraph that the **Named Insured** maintains a General Liability Insurance Policy, including products/completed operations coverage, with limits of liability of no less than \$1,000,000 Each Claim or Occurrence, throughout the term of this Policy (or, if purchased, an Extended Reporting Period). The coverage provided by this paragraph is specifically excess over such General Liability Insurance Policy.

The maximum coverage available pursuant to this paragraph shall be subject to a Sublimit of Insurance of \$ \$250,000 and excess of the Retention in the amount of \$10,000. Such Sublimit of Insurance shall be part of, and not in addition to, the Aggregate Limit of Insurance Under all Insuring Agreements set forth in Item 4. of the Declarations.

For the purposes of this paragraph only, Section II. DEFINITIONS is amended by addition of the following definitions:

- A. **Bodily Injury** means physical injury, sickness, disease, mental anguish or emotional distress sustained by a person, including death resulting therefrom.
- B. **Property Damage** means physical injury to tangible property, including all resulting loss of use of that property, and loss of use of tangible property that is not physically injured.

Property Damage shall not include damage to or loss of electronic records or data.

For purposes of this paragraph only, Section III. EXCLUSIONS, paragraph A. **Exclusions Applicable to all Insuring Agreements** , Exclusion 2. **Bodily Injury or Property Damage** shall not apply.

VII. CRIMINAL REWARD COVERAGE – SUBJECT TO SUBLIMIT

The **Insurer** may pay on behalf of the **Insured Entity** , at the **Insurer's** sole and absolute discretion, up to \$ Click or tap here to enter text. in the aggregate as a **Criminal Reward Fund** . No Retention shall apply to this paragraph. The **Criminal Reward Fund** shall be part of, and not in addition to, the Aggregate Limit of Insurance Under all Insuring Agreements set forth in Item 4. of the Declarations.

Provided however, that **Insurer** shall not pay any **Criminal Reward Fund** for, and this Policy shall not cover any amount based upon or arising out of, any information provided by any **Insured** , an **Insured's** auditors, whether internal or external, any individual hired or retained to investigate the aforementioned illegal acts, or any other individuals with responsibilities for the supervision or management of the aforementioned individuals.

For the purposes of this paragraph only, Section II. DEFINITIONS is amended by addition of the following definition:

Criminal Reward Fund means any amount offered by the **Insurer** for information that leads to the arrest and conviction of any individual(s) committing or trying to commit any illegal act related to the coverage afforded by this Policy.

VIII. CRYPTOJACKING COVERAGE – SUBJECT TO SUBLIMIT

The **Insurer** will pay on behalf of the **Insured Entity** , **Loss** , that is directly caused by **Cryptojacking** that is first **Discovered** during the **Policy Period** .

The maximum coverage available pursuant to this paragraph shall be subject to a Sublimit of Insurance of \$ 250,000 and excess of the Retention in the amount of \$10,000. Such Sublimit of Insurance shall be part of, and not in addition to, the Aggregate Limit of Insurance Under all Insuring Agreements set forth in Item 4. of the Declarations.

For the purposes of this paragraph only, Section II. DEFINITIONS is amended by addition of the following definitions:

- A. **Cryptojacking** means the unauthorized access or use of a Computer System to mine for Digital Currency that directly results in additional costs incurred by the Insured Entity for electricity, natural gas, water, oil, telephone, or internet (the “utilities”); provided, however, that such additional costs for the utilities are:
1. incurred pursuant to a written contract between the **Insured Entity** and the respective utility provider, which was executed prior to the occurrence of the **Cryptojacking** ;
 2. charged to the **Insured Entity** in a periodic billing statement issued by the respective utility provider, which includes usage or consumption information;
 3. not charged at a flat fee to the **Insured Entity** that does not scale with the rate or use of the respective utility service or resource; and
 4. incurred pursuant to statements issued by the respective utility provider and due for payment during the **. Policy Period .**
- B. **Digital Currency** means a type of currency that:
1. requires cryptographic techniques to regulate the generation of units of currency and verify the transfer thereof;
 2. is stored and transferred electronically; and
 3. operates independently of a central bank or other central authority.

IX. LOSS OF EARNINGS COVERAGE

The **Insurer** will reimburse reasonable and necessary expenses incurred by an **Insured** , and loss of wages suffered by an **Insured** , as a result of their attendance at any deposition, arbitration, court hearing, mediation, trial or other proceeding, in connection with a covered **Claim** , at the **Insurer’s** written request. Such reimbursement will be limited to \$ 500 per day, per individual attending, and \$ 10,000 in the aggregate regardless of the number of **Claims** or the number of **Insureds** involved.

X. AMEND DEFINITION OF BREACH RESPONSE COSTS – INCLUDE CREDIT MONITORING TO CLIENTS, BUSINESS PARTNERS, AND VENDORS

Section II. DEFINITIONS, Definition F. **Breach Response Costs** , paragraph 2.f. is deleted in its entirety and replaced by the following:

- f to provide a credit monitoring or identity monitoring solution to individuals, **Clients** , and business partners or vendors of the **Insured Entity** (only to the extent there is a written agreement between the **Insured Entity** and the business partners or vendors governing such relationship) whose **Confidential and Private Information** was impacted by a **Privacy Incident** or **Network Security Incident** for up to twelve (12) months, or longer only where required by law; and

XI. AMEND DEFINITION OF LOSS – LOSS ALSO INCLUDES PUNITIVE DAMAGES IF INSURABLE BY LAW – MOST FAVORABLE VENUE

Section II. DEFINITIONS, Definition KK. Loss, paragraph 6. under “Loss does not include” is deleted in its entirety.

Section II. DEFINITIONS, Definition KK. Loss, “Loss means” is amended by addition of the following:

5. punitive or exemplary damages, or the multiple portion of a multiplied damage award, only to the extent such damages are insurable under the law of the jurisdiction most favorable to the insurability of such damages, provided such jurisdiction has a substantial relationship to the **Insured** , the **Insurer** , or to the **Claim** giving rise to such damages;

XII. AMEND DEFINITION OF DEPENDENT BUSINESS – INCLUDE NON-IT SERVICE PROVIDER

- A. Section II. DEFINITIONS, Definition U. **Dependent Business** is amended by addition of the following:

7. **Non-IT Service Provider** .

- B. Section II. DEFINITIONS is amended by addition of the following definition:

Non-IT Service Provider means an entity, other than an **Insured**, that provides goods or services to an **Insured** pursuant to a written contract

XIII. AMEND BIOMETRIC INFORMATION EXCLUSION – PRIVACY INCIDENT CARVEBACK

Section III. EXCLUSIONS, paragraph A. **Exclusions Applicable to all Insuring Agreements**, Exclusion 11. **Biometric Information** is amended by addition of the following:

provided however, that this exclusion shall not apply to an otherwise covered **Claim** or **Incident** arising out of a **Privacy Incident** in which **Biometric Information** is obtained and/or disseminated.

XIV. AMEND SETTLEMENT PROVISION – INCREASE PERCENTAGE

Section VII. DEFENSE AND SETTLEMENT OF CLAIMS, paragraph B. **Settlement**, sub-paragraph 3.b. is deleted in its entirety and replaced with the following:

- b. ninety percent (90%) of any **Loss**, including any **Defense Expenses**, **PCI Assessments**, and **Regulatory Costs** incurred after the date such settlement was recommended to the **Insured**;

XV. WAIVER OF SUBROGATION - PURSUANT TO CONTRACT

Section X. SUBROGATION is amended by addition of the following:

Waiver of Subrogation

The **Insurer** agrees to waive its legal right of subrogation, to the extent of any payments made under this Policy, against any individual or entity with which the **Insured** has a written contract to provide such waiver of subrogation, provided that the contract is entered into and effective prior to the time the **Claim** is brought or **Incident** takes place.

XVI. COVERAGE FOR NEW ENTITIES, AMEND THRESHOLD

Section XIII. CORPORATE TRANSACTIONS, paragraph A. **Newly Created or Acquired Entities**, sub-paragraph 1. is deleted in its entirety and replaced with the following:

1. If, during the **Policy Period**, the **Named Insured** or another **Insured Entity** acquires or creates a **Subsidiary** where the total annual revenues of such entity are less than 30 % of the **Insured Entity's** total annual revenues, then such entity shall be included within the definition of **Insured Entity**.

If this endorsement is issued after the Policy has been issued, it is deemed to have been added to the list of forms and endorsements on the Declarations or any Schedule attached to this Policy.

All other terms and conditions of this Policy remain unchanged.

Endorsement Number: NA

Endorsement Effective Date: NA

Policy Number: YPB-704221-00

Named Insured: Arnold Palmer Enterprises, Inc.

Insurer: Homesite Assurance Company (NAIC 11156)

A Surplus Lines Insurance Carrier, A.M. Best Rated A XV

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL BREACH RESPONSE SERVICES LIMIT

This Endorsement shall be attached to and form a part of the Cyber Protect Policy.

In consideration of the premium charged, it is hereby understood and agreed that:

- I. The following paragraph is added to Section IV. LIMITS OF INSURANCE AND RETENTION, Paragraph A. Limits of Insurance:

Additional Breach Response Services Limit

Any **Breach Response Costs** covered under Insuring Agreement A.1., Breach Response Services Insuring Agreement shall first apply, in excess of the Breach Response Services Retention set forth in Item 5. of the Declarations, to the Additional Breach Response Services Limit, which shall be an amount equal to 50% (fifty percent) of the Breach Response Services Aggregate Limit of Insurance set forth in Item 5. of the Declarations.

The Additional Breach Response Services Limit is in addition to and is not a part of and shall not exhaust: (a) the Breach Response Services Aggregate Limit of Insurance set forth in Item 5. of the Declarations; or (b) the Aggregate Limit of Insurance Under All Insuring Agreements set forth in Item 4. of the Declarations.

The **Insurer's** maximum Limit of Insurance for all **Loss** or all other amounts payable under Insuring Agreement A.1. Breach Response Services Insuring Agreement on account of all **Claims** and all **Incidents** for which coverage is provided, shall not exceed the total of the Breach Response Services Aggregate Limit of Insurance set forth in Item 5. of the Declarations and Additional Breach Response Services Limit as set forth above.

Breach Response Costs covered under Insuring Agreement A.1., Breach Response Services Insuring Agreement will only be applied to the Breach Response Services Aggregate Limit of Insurance once the Additional Breach Response Services Limit is exhausted.

- II. Section IV. LIMITS OF INSURANCE AND RETENTION, Paragraphs A.1. and A.2. are deleted in their entirety and replaced with the following:

1. Policy Aggregate Limit of Insurance

Except for **Breach Response Costs** as provided above under the Additional Breach Response Services Limit, the **Insurer's** maximum aggregate Limit of Insurance for all **Loss** and other amounts payable under this Policy, on account of all **Claims** and **Incidents** for which coverage is provided under all Insuring Agreements, is the Policy Aggregate Limit of Insurance set forth in Item 4. of the Declarations. This is the most the **Insurer** shall pay under this Policy for all **Loss** except for **Breach Response Costs** covered under the Additional Breach Response Services Limit. If the Policy Aggregate Limit of Insurance and the Additional Breach Response Services Limit is exhausted by the payment of **Loss** or any other amounts payable under this Policy, then the **Insurer's** obligations with respect to the payment of **Loss** or any other amounts payable under this Policy shall be completely fulfilled and extinguished.

2. Each Insuring Agreement Limit of Insurance

Except as provided above under the Additional Breach Response Services Limit, the **Insurer's** maximum Limit of Insurance for all **Loss** or all other amounts payable under this Policy, as applicable, on account of all **Claims** and all **Incidents** for which coverage is provided under a particular Insuring Agreement of this Policy, shall not exceed the applicable Insuring Agreement Limit of Insurance set forth in Item 5. of the Declarations. The applicable Insuring Agreement Limit of Insurance is part of, and not in addition to, the Policy Aggregate Limit of Insurance set forth in Item 4. of the Declarations.

If this endorsement is issued after the Policy has been issued, it is deemed to have been added to the list of forms and endorsements on the Declarations or any Schedule attached to this Policy.

All other terms and conditions of this Policy remain unchanged.



BOWHEAD SPECIALTY

PRIVACY NOTICE

About This Notice

At Bowhead Specialty Underwriters, Inc., and its affiliates (collectively, "Bowhead", "Company", "we", "our", and "us"), the protection of the information we collect about you is important to us. This privacy policy ("Privacy Policy") describes the types of information we may collect from you or that you may provide and our practices for collecting, using, maintaining, protecting, and disclosing that information.

Information We Collect

We collect information from you in several ways, depending on the product or service you have with us and can include the following:

1. Information on applications, related insurance forms or in conversations with us including: name, mailing and email addresses, telephone number, date of birth, gender, marital or family status, identification numbers (Social Security Numbers or Federal Employer Identification Number, driver's license or other license number) employment, education, and occupation.
2. Policy information such as coverage, claims, premiums, loss and payment history.
3. Financial Information such as credit history and credit scores, assets and income and other financial information.
4. Medical information such as history and records.
5. Any other personal information you may provide to us in connection with our products and services.

This Privacy Policy does not apply to the following types of information including:

- A. Publicly available information, including from government records, through widely distributed media, or that the consumer made publicly available without restricting it to a specific audience.
- B. Lawfully obtained, truthful information that is a matter of public concern.
- C. Deidentified or aggregated consumer information.

How We Use Your Information

We may use the information that we collect from you for the following purposes:

1. Insurance service and product development and maintenance;
2. Communications to provide support, notices, and respond to inquiries;
3. Insurances claims and related investigations;
4. Marketing and advertising;
5. Compliance with legal and regulatory requirements;
6. Protection of our and our customers rights, property, and safety;
7. Underwriting and risk assessment;
8. Fraud prevention and detection;
9. Reinsurance arrangements;
10. Loss control and safety services; or
11. Other internal business purposes.

How We Share Your Information

We may share the information we collect from you, including personal information, with third parties for a variety of purposes, including but not limited to:

1. Business operations - subsidiaries, affiliates, service providers, vendors, and business partners to deliver quotes, products, and services
2. Insurance industry partners - reinsurers, other insurance companies, rating organizations, industry databases, and fraud prevention services
3. Legal and regulatory compliance - law enforcement, regulators, and other parties when required by law or to protect our customers and ourselves
4. Business transfers - in connection with mergers, consolidations, asset sales, due diligence processes, or other changes in our business structure

We reserve the right to share information for these and other legitimate business purposes as necessary for our operations and legal obligations.

We do not sell personal information.

How We Protect Your Information

We use commercially reasonable and industry standard security technologies and safeguards to protect the information that we collect and use. We also expect our service providers to protect information in the same manner.

We retain the personal information we collect only as reasonably necessary for the purposes described in this Privacy Policy.

We protect the confidentiality of social security numbers ("SSNs") by maintaining physical, electronic, and procedural safeguards. We limit access to SSNs to help protect against their loss, misuse or unlawful disclosure. We do not disclose SSNs to third parties except where required or permitted by law.

Additional Rights

CO, CT, DE, FL IN, IA, MT, OR, TN, TX, UT, and VA

If you are a resident of the above states, you have the right to:

- A. Confirm whether we process your personal information.
- B. Access and delete certain personal information.
- C. Correct inaccuracies in their personal information, taking into account the information's nature and processing purpose (excluding Iowa and Utah).
- D. Data portability.
- E. Opt-out of personal data processing for:
 - a. targeted advertising (excluding Iowa);
 - b. sales; or
 - c. profiling in furtherance of decisions that produce legal or similarly significant effects (excluding Iowa and Utah).
- F. Either limit (opt-out of) or require consent to process sensitive personal data.

The exact scope of these rights may vary by state. To exercise any of these rights please contact us at regulatory-legal@bowheadspecialty.com.



CA

If you are a resident of California you have additional rights under the California Consumer Privacy Act ("CCPA") of 2018, as amended by the California Privacy Rights Act of 2020 ("CPRA"):

- A. Right to know certain information we have collected about you.
- B. Right to correct any inaccuracies in your personal information.
- C. Right to delete any personal information about you.
- D. Right to opt-out of any sharing or selling of your personal information.
- E. Right to limit the use and disclosure of sensitive personal information.

We will not discriminate or retaliate against you for exercising any of the rights described in this Privacy Policy.

To exercise any of your rights described above, please submit a request to us either by:

- 1. Completing the request form found <https://bowheadspecialty.com/california-privacy-policy-form/>
- 2. Phone at 1-833-240-8996

We strive to respond to a verifiable consumer request within forty-five (45) days of its receipt. If we require more time (up to 90 days), we will inform you of the reason and extension period in writing. We will deliver our written response electronically unless you indicate preference to receive a response by mail.

NV

Nevada provides its residents with a limited right to opt-out of certain personal information sales. Nevada residents who wish to exercise this sale opt-out rights may submit a request to us at regulatory-legal@bowheadspecialty.com. However, please know we do not currently sell data triggering that statute's opt-out requirements.

For additional information on how we handle personal information, please see our privacy policy at:
<https://bowheadspecialty.com/privacy-policy-2/>

Contact Us:

Mail: Bowhead Specialty Underwriters, Inc.
452 5th Ave, 24th Floor
New York, NY 10018

Email: regulatory-legal@bowheadspecialty.com

Phone: 1-833-240-8996

Bowhead Specialty is the branding name for Bowhead Specialty Underwriters, Inc., and Bowhead Specialty Insurance Services in CA (License Number 6003149), IL, NV, NY, UT and VA. Bowhead Specialty is a licensed agency nationwide. Our National Producer Number is 19853093. Products are offered through the American Family Mutual Insurance Company, S.I., affiliates on an admitted and surplus lines basis. Bowhead Insurance Company, Inc. is a property and casualty insurance company which is domiciled in Wisconsin. Baleen Specialty is a division of Bowhead Specialty.

Homesite Insurance Company of Florida dba Homesite Assurance Company

A Stock Insurance Company
1 Federal Street, Suite 400 Boston, MA 02110-2003

SERVICE OF SUIT

Solely for the purposes of coverage provided under the Policy, it is hereby understood and agreed that:

The Insurer agrees that in the event of its failure to pay any amount claimed to be due hereunder, the Insurer, at the request of the Insured (or Original Insured), will submit to the jurisdiction of any court of competent jurisdiction within the United States of America and will comply with all requirements necessary to give such Court jurisdiction, and all matters arising hereunder shall be determined in accordance with the law and practice of such Court. Nothing in this clause constitutes or should be understood to constitute a waiver of the Company's rights to commence an action in any Court of competent jurisdiction in the United States District Court or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any state in the United States.

The Insurer hereby designates the Commissioner, Director or Superintendent of Insurance, or other officer specified by law for that purpose, or his successor or successors in office, or the person designated below, in the space indicated, as its true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured arising out of this contract of insurance. It is further agreed that the Insurer shall abide by the final decision of any court having jurisdiction in which such action is filed, or by the decision of any appellate court in the event of an appeal.

Upon receipt of process served hereunder, the Insurer hereby designates the Registered Agent below as the person to whom the officer designated above is authorized to mail such process.

Registered Agent:
State of Florida Chief Financial Officer
200 East Gaines St.
Tallahassee, FL 32399

This Service of Suit endorsement will not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in any arbitration provision within this Policy. This clause is intended as an aid to compelling arbitration or enforcing such arbitration or arbitration award, not as an alternative to such arbitration provision for resolving disputes arising out of this contract of insurance or (reinsurance).

All other terms, conditions, and agreements shall remain the same.